The AI boom is reshaping growth, productivity, trade, jobs and markets. Investment still has room to run in 2027, but financing is getting riskier and expectations are sky-high. We ask how long it can last, who stands to gain and what happens if the promised returns fail to arrive

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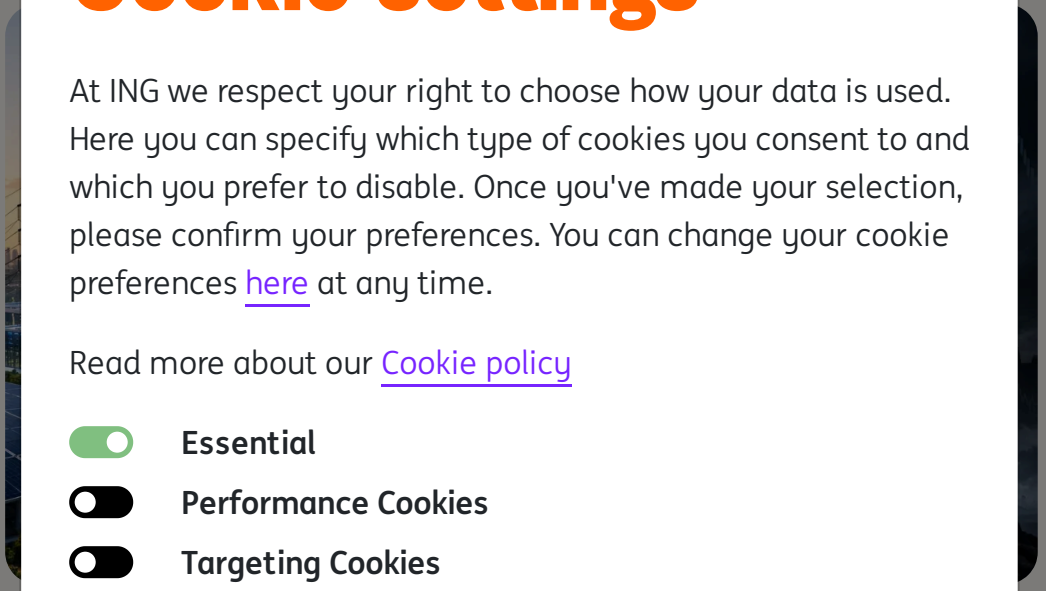

- **The AI boom still has room to run.** Investment is likely to continue rising in 2027, supported by strong demand and constrained supply. But its contribution to US growth is probably close to its peak as the sheer scale of investment makes further acceleration harder.
- **The boom is entering a new phase.** The story is expanding beyond chips and data centres into power generation, grids and cooling. At the same time, financing is shifting gradually from hyperscalers' enormous cash flows towards debt, private credit and

more complex structures, increasing the risks if expected returns fail to materialise.

- **The economic effects are becoming broader and more complicated.** AI is supporting US growth and global technology supply chains, but may also be diverting investment from other parts of the economy. It is adding to inflationary pressures today through demand for energy, equipment and skilled labour, while the hoped-for productivity and disinflation benefits are likely to take longer to emerge.
- **The winners will not necessarily be those building the**

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Railroads, electrification, dotcom fibre: how does today's AI boom compare with the great investment manias of the past?

Bigger than the dotcom boom, more important for growth and, so far, more safely financed.

Investment in US data centre structures, computers and software reached 5.6% of GDP in the second quarter of 2026, up from 3.8% in 2022, or 5.2% once imported hardware is netted out. That already

puts the current boom above the dotcom peak in 2000, when business investment in computers, communications equipment and software reached about 4.5% of GDP, although still below Britain's railway mania of the 1840s, when railway investment alone reached roughly 6-7% of GDP.

So while this is not the biggest investment boom in history, it is already bigger than the last great technology boom. And it is having a much bigger economic impact: IT investment accounted for 16-18% of US GDP growth in 1998-2000; AI-related investment now accounts for 37%.

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software, accounting, online retail and advertising.

The common thread is that transformative technology does not necessarily mean good returns for those who finance the transformation. The Nasdaq lost almost 80% between 2000 and 2002, yet the fibre laid during the boom went on to underpin the streaming economy. Investors build the road; others get to drive on it.

How much more will be invested in AI in 2027, and is the boom still accelerating?

Still accelerating in dollars, but probably peaking in its contribution to growth.

Momentum remains strong. Taiwan's leading semiconductor companies report order books that are full on a rolling 18-month basis, with any new capacity snapped up as soon as it comes online. Industry forecasts point to tight supply-demand conditions until 2028. Barring a wave of order cancellations or defaults, that points to another year of heavy AI investment in 2027, with hyperscaler capex expected to exceed US$1 trillion, increasingly geared towards AI infrastructure.

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guidance that stops being revised up, and a widening gap between investment and AI revenues.

For now, the bigger risk is not that the money runs out in 2027, but that it keeps flowing so fast that the questions about returns grow much louder in 2028.

Chips and data centres are only the first layer. How big is the second wave of

investment in grids, power generation and cooling?

Bigger, slower and longer-lived than the first wave – and potentially more important for the macro outlook.

As a rule of thumb, US$1bn buys roughly 25MW of fully equipped AI compute capacity. Not all of the c.US$1 trillion of hyperscaler capex expected in 2027 will go to AI compute; some will fund conventional cloud infrastructure. But even if only half does, that implies more than 12GW of additional power demand – roughly the output of a dozen large nuclear reactors, needed around the clock.

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construction and engineering firms, so the benefits travel further.

There is a catch. Somebody has to pay for the grid, and in regulated markets that somebody is often the household electricity customer. Rising power bills are already turning data centres into a political issue in parts of the US, and they feed straight into the inflation debate.

Chips are the sprint. Power is the marathon – and the marathon may end up mattering more.

Is this an American party, or does Europe get an invitation? Who supplies the picks and shovels?

So far it is very much an American party – but Europe supplies the catering, and may turn out to be the smarter guest.

The investment gap is stark. US imports of computer equipment and semiconductors, a rough proxy for AI investment, have risen by about 258% since 2019, compared with 38% in the UK. Europe's own build-out is held back by high energy prices, scarce grid capacity – think of the data centre moratoria in Dublin and A
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FDI into semiconductors, electronics manufacturing, and supporting supply chains as firms expand capacity and diversify production networks.

More importantly, the broad economic gains from AI come from using it, not building it – and here Europe is surprisingly good. Uptake is strong, and European SMEs use AI almost as intensively as large corporates, because the upfront investment is low. Nor does AI look like a winner-takes-all technology: switching costs are low and network effects limited. If model providers end up competing on price, the spoils go to the users – and Europe does

not need to build nearly as many data centres to compete. Late to the construction site, Europe could still be early to move in.

There is a silver lining, too. Europe is far less exposed if the boom turns to bust. Its AI capex is smaller and the wealth channel much weaker: equities make up 13% of UK households' financial assets, versus 44% in the US. Missing the party also means skipping the hangover.

Which sectors stand to win most, and which risk being left behind?

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But don't write off every exposed sector. The Jevons paradox – cheaper supply raising demand – could favour some of them. Legal services is a good example: if AI makes contract review or legal advice much cheaper, demand may rise faster than the cost per task falls. Growth may also come from unexpected places. In healthcare, AI-driven drug discovery and diagnostics could open up new treatments, creating demand rather than merely cutting costs.

Ultimately, productivity gains depend more on the tasks employees perform than on the sector they sit in. Workers handling

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large amounts of data, text or graphics are likely to see the largest gains. The chart below, from our 2023 work, shows how the potential benefits of generative AI across tasks relate to the degree of digitalisation across sectors: the more digital a sector already is, the faster AI can travel through it.

In short, the winners will be those that build AI or use it to work smarter. The losers will be those whose core activities can increasingly be automated.

Growth, prices and trade

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accounts for 37% of US real GDP growth. Substantial, but a long way from the 'AI is the only game in town' narrative.

The more uncomfortable finding lies outside tech. Rather than lifting the overall growth rate, the AI boom seems to have cannibalised growth elsewhere. Strip out AI, and the rest of US private non-residential investment had fallen year-on-year for six consecutive quarters by mid-2026. Before 2021, tech and non-tech investment moved broadly in step; since then, they have moved in opposite directions. One explanation: shareholders reward companies that embrace AI, so capital budgets are being redirected towards tech at the expense of everything else. So the boom isn't

so much about creating additional investment as redirecting investment from elsewhere in the economy.

What would US growth look like without AI? Not simply 37% lower. Part of the capital, engineers and electricity absorbed by AI would have found other uses. A world without the AI boom would most likely show weaker growth, but not by the full amount of AI's contribution – and with a more balanced investment mix.

For 2027, our plateau base case implies a smaller AI contribution to growth. That would give the non-tech economy room to breathe – but only if it is ready to take over.

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without an exceptional acceleration. While AI-related sectors are providing a significant boost to several Asian economies, this largely reflects rapid investment and higher capital utilisation rather than a sustained improvement in underlying productivity. However, in China, we've seen labour productivity growth pick up in the last two years, breaking what had been an extended downtrend as Chinese companies race to incorporate AI in workflows. In the eurozone, which lacks comparable AI investment, labour productivity growth remains lacklustre, with very few exceptions, like for example, in the Netherlands.

The technology holds real promise for broad-based productivity gains. But reaping them requires wider adoption and investment in infrastructure and skills, both within companies and across the economy. That suggests a J-curve: heavy upfront intangible investment – time spent learning new skills and reorganising workflows – could initially mute measured productivity before the investment pays off, possibly quite abruptly. Electrification is the classic precedent: the electric motor arrived in the 1880s, but factory productivity only took off in the 1920s, once factories had been rebuilt around it.

And even then, a shift of the workforce towards sectors where p… w… d… s…

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I… E… c… &…

Inflationary today, disinflationary tomorrow – but don't hold your breath for the outright deflation Silicon Valley promises.

It depends on your time horizon. For now, the effect runs in the inflationary direction. AI's enormous energy demand is adding to the current energy shock, memory chip prices have surged, and the scramble for electricians, transformers and construction capacity is pushing up costs. Meanwhile, the investment boom is pouring fuel on the fire of a US economy already running with above-target inflation.

In the longer run, once the technology lifts productivity, it should lower unit labour costs and exert disinflationary pressure across the economy. Like most technological breakthroughs, AI will probably end up being disinflationary. But the effect will be concentrated in services and much smaller for goods with physical inputs. Algorithms can't make steel, copper or concrete cheaper.

There is also a less comfortable twist. AI allows companies to price dynamically, adjusting prices to what each customer is willing to pay and thereby capturing more of the consumer surplus. That could make some prices stickier rather than lower. Together with the physical constraints, this makes the outright deflation Sam A

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A rewarding the countries that own its choke points.

AI is increasingly sorting the global economy into winners and laggards. The IMF has raised its outlook for economies benefiting from the AI investment boom, particularly those embedded in the global technology supply chain, while countries outside it see much less of a boost. Taiwan is riding booming semiconductor demand, South Korea is benefiting from demand for high-bandwidth memory, and the effects travel upstream to the suppliers of advanced chipmaking equipment, including the Netherlands.

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This illustrates how AI is reshaping both trade and investment flows. Spending on data centres and computing capacity in the US drives demand for chips from Asia, which in turn requires investment in semiconductor capacity and equipment from Europe, Japan and the US. The result is an international AI investment chain, with growth increasingly flowing to the countries that hold its critical links. It also explains a good part of the surge in the US import bill: every data centre built in Texas shows up in Taiwan's export statistics.

Trade policy is the second force reshaping the chain. Export controls on advanced chips to China, tariffs and subsidy programmes such

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Evidence on AI's labour market impact remains fragmented, and the economy-wide effect is still limited. If history is any guide, fears of mass unemployment are overdone: with every major technology of past centuries, growth was strong enough to create jobs elsewhere, even as demand for some types of labour fell. But if adoption is so fast that labour demand and supply can't adjust in time, unemployment could rise temporarily.

The first cracks are showing at the entry level. In the US, job growth has remained positive but weaker in sectors with high AI exposure; evidence from the eurozone is mixed. The Dallas Fed finds that

employment among young workers in AI-exposed occupations has weakened, mainly reflecting lower hiring rather than more layoffs. According to the Stanford Digital Economy Lab, employment among 22-25-year-olds in highly exposed occupations was around 19% below where it would have been by June 2026 had it kept pace with less-exposed occupations. In China, we see similar pressures on entry-level work reflected in rising youth unemployment. The Chinese government has planned training and job replacement policies to help alleviate any negative effects of AI on employment. For developing Asia, particularly India and the Philippines where outsourcing sectors are highly exposed to AI, the

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Who pays?

Is the boom still funded from cash flows, or are hyperscalers increasingly turning to debt?

Still mostly from cash flows – but the cushion is thinning and the borrowing has begun.

The largest hyperscalers have so far paid for the AI build-out out of their own pockets, which is the biggest difference from the dotcom and railway booms. But capex is absorbing a rising share of operating cash flow, squeezing free cash flow and leaving less room for share buybacks. For companies that used to return cash to shareholders at a record pace, that is a notable shift in priorities.

Borrowing is stepping up. Several hyperscalers, such as Amazon, Alphabet, Meta, and Oracle have issued jumbo bond deals since 2025, with Oracle the most leveraged of the group. Equity markets are being tapped too: several big tech firms announced plans to raise equity in June. None of this is alarming on its own – these are

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books.

The direction of travel is clear. The boom started as a self-funded venture by the richest companies in the world. It is gradually turning into a credit story.

Leases, SPVs, private credit: how opaque has AI financing become?

More opaque than the hyperscalers' balance sheets suggest – but so far, the risk rests on some of the strongest borrowers in the world.

A growing part of AI financing is moving off balance sheet. Special purpose vehicles and joint ventures, such as Meta's Hyperion data centre financed with Blue Owl, long-term leases and GPU-backed loans allow companies to fund the build-out without the debt appearing directly on their own books. Securitisation of data centre assets through asset-backed securities and commercial mortgage-backed securities is growing as well, bringing a wider pool of investors into the game.

Leases are a particular blind spot. They are recognised as on-balance-sheet commitments only once contracts are final; until then, the extent of incremental lease liabilities is uncertain. There is a

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where risks are concentrated – and harder to judge how a shock would travel.

Looking ahead, capital may eventually become a major constraint on the AI build-out, alongside permitting and access to power. The more the industry relies on creative financing, the more it depends on investors' continued willingness to lend. Financial engineering can prolong a boom, but it can't make the returns appear.

How exposed are banks, and is private credit the shadow banking of this cycle?

Direct bank exposure looks modest; private credit is the obvious weak spot – but contagion would run through markets rather than bank failures.

Banks' direct exposure to AI looks limited. The hyperscalers fund themselves mainly through cash flow and bond markets rather than bank loans. Indirect exposure is harder to gauge: banks lend to private credit funds, data centre developers and construction firms.

Private credit is the obvious weak spot. Is it the shadow banking of this cycle? Partly. It has less of the maturity mismatch that made pre-2008 shadow banking so fragile: much of the capital is locked u
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the economy rather than through bank failures. That is less dramatic than 2008, but not harmless: a repricing of credit risk would raise funding costs far beyond tech, hitting the very non-tech investment that is already struggling.

Banks may well escape an AI bust largely unscathed. The economy they lend to may not.

Vendor financing déjà vu: should we worry when chipmakers fund their own customers?

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Worth watching, but this is not Lucent and Nortel all over again – mainly because the balance sheets are much stronger.

The dotcom precedent is uncomfortable. Lucent, Nortel and Cisco lent money to telecom start-ups so they could buy their equipment. When the customers went bust, the suppliers took the hit, and much of the reported demand turned out to have been financed by the sellers themselves.

Today, there are echoes. Chipmakers are taking stakes in AI labs and neoclouds that then buy their chips. The same handful of firms raise money, buy chips, lease compute and book revenue off one a
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travel quickly through its suppliers, landlords and investors, who are often the same companies. And they make it harder to judge how much genuine end-demand there is for AI – precisely the question on which the whole boom rests.

The test is simple: follow the money until it reaches a customer who isn't also an investor. The longer that trail gets, the more nervous we should become.

Higher Fed rates helped end the dotcom bubble. Could monetary policy or bond

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yields pop this one too?

Probably not as the trigger – but monetary policy could make any bust more painful, because the safety net is thinner than in 2001.

In 1999-2000, the Fed hiked rates to 6.5% before the dotcom bubble burst, then cut by almost five percentage points in 2001. This time, an energy shock is keeping inflation above target. Actual rate hikes and more rate hikes to come could bring both the Federal Reserve and European Central Bank closer to risky territory.

High policy rates do not necessarily stop AI investment first. If expected returns on AI remain very high, capital may keep flowing

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long-term yields would therefore hit hardest where the build-out depends most on external funding.

The bigger issue is the safety net. If the bubble bursts, central banks can't come to the rescue as aggressively as in 2001 while inflation is above target. Fiscal space is also far more limited than a quarter of a century ago.

But don't rule out a different kind of rescue. AI is not just an economic tool; it is also about power – geopolitical and technological. If things went south for the sector, some form of government support would be conceivable, from public

procurement to guarantees or targeted support for strategically important companies. The dotcom bust was left to the market. An AI bust might not be.

Monetary policy is unlikely to pop this bubble. But it could decide how hard the landing is – and Washington may decide who gets a parachute.

Bubble or not?

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uncertain long-term economics.

Then the revenue gap. Capex is running ahead of AI revenues, as it can take several years for investment to translate fully into revenues. Amazon, Microsoft and Alphabet have invested around US$600bn over 2023-25. As a rough rule of thumb, every dollar of AI infrastructure may need to generate 40-50 cents of annual revenue (assuming hyperscaler-like margins), implying US$240-300bn a year – although not all of this capex was AI-related. That looks large, but less so next to labour costs. At US$100,000 per employee, US$300bn is the cost of three million workers. AI doesn't

need to replace them: a 20% productivity gain across 15 million employees would deliver the same value. Consumers alone won't close the gap; the money has to come from enterprises.

Two caveats. Concentration: the weight of the largest tech stocks in the S&P 500 exceeds the dotcom peak, so any disappointment would hit the whole index hard. And circularity in financing and revenues makes true end-demand harder to measure.

Finally, a bubble in prices doesn't mean the technology is a dud. Railways had a bubble. So did the internet. Both still changed the world.

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a single day. Cheaper compute can raise demand – the Jevons paradox – but higher volumes can come with lower margins. That makes the profitability of AI labs such as OpenAI and Anthropic the big question mark. If it disappoints, the hardware will still be needed, but the build-out would likely slow. Nvidia's exceptionally high margins could also normalise if competition increases or the scarcity value of leading-edge compute declines.

Missing from most lists is financing: rising bond yields, a credit event at a leveraged neocloud or private credit fund, or an energy shock that keeps central banks hawkish.

Ultimately, we see the biggest risk in overcapacity. Continued innovation in chips, more efficient models and optimised algorithms could eventually create an imbalance between supply and demand, pushing down utilisation and returns. For now, though, the industry is still struggling to scale compute and secure enough power, while new business models and applications keep emerging.

There is one more way to read today's capacity commitments: as strategic entry deterrence. Announcing gigantic investment plans discourages competitors from entering the market – and some of those plans may never be fully executed if returns disappoint. That w… a s…

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A… household wealth. At 2.6 cents per dollar, that means a drop in consumer spending of around $640bn, or 2.9% of nominal consumer spending (an annualised $22.3tn in August). With wealth even more concentrated than in 2020, the multiplier is probably weaker; at 2.2 cents, the hit would be around 2.4%. That is a level effect, typically playing out over one to two years – but a big number nonetheless.

History offers some comfort: during the dotcom bust, US consumer spending barely flinched. But it could be worse this time. First, wealthy households are currently the only ones holding up

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spending; the bottom 60%, who spend roughly as many dollars as the top 20%, are squeezed by tariffs and higher fuel prices. Second, the Fed has less room to cut than in 2001. Third, the credit cushion is thinner: rising delinquencies on car loans and credit cards show stress building at lower incomes.

The good news: this is not 2008. US household debt stands at around 70% of GDP, the same as in 2001 and well below the 100% reached in 2007.

In the end, the wealth effect is the smaller channel. After the dotcom bust, business investment fell by 11% in two years. IT e
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The rates channel points in the same direction. Negative wealth effects, weaker consumption and slower US growth would eventually push the Fed towards rate cuts, narrowing interest rate differentials against the dollar. The timing would depend on inflation: with prices still running above target, the Fed may cut later than markets hope, which could limit the dollar's fall in the early stages.

Among the winners, the yen and the Swiss franc would play their traditional safe-haven role. The euro could benefit relatively, given Europe's lower exposure to both AI capex and equity wealth (4Q). A

tech crash made in America would, for once, be a reason to hold European assets rather than flee them.

The losers would be the currencies of Asian tech exporters, notably the Taiwan dollar and the Korean won, whose economies are leveraged bets on AI demand. They would come under heavy pressure, although intervention by local authorities and the legacy of huge trade surpluses would cushion the blow somewhat.

The bottom line: in an AI bust, the dollar may lose its reputation as the place to hide. Not because the world has found a better safe haven, but because this time the fire would start in the safe house.

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employment – to rebound. A bust would be a very different animal: an abrupt choking off of tech investment, similar to 2001, combined with a negative wealth effect on consumers through falling stock markets. And this time, central banks would have less room for rate cuts as inflation remains their main concern.

Which signposts should readers watch? For the boom itself, the key indicators are hyperscaler capex guidance, Taiwanese order books and lead times, and AI revenues relative to capex. Markets will focus on realised AI revenues at the large technology firms, margins on incremental revenue and how the next phase of the build-out will

be funded; figures that disappoint relative to company budgets and analysts' forecasts could trigger a sell-off.

On financing, credit spreads on AI-related debt, private credit flows and redemptions, and bond yields and term premia will show whether investors remain willing to fund the build-out. In the real economy, the questions are whether non-tech investment finally recovers, how hiring in AI-exposed sectors develops, and what productivity, grid connection and power data are telling us.

The question for 2027 isn't whether AI will change the world. It's whether anyone gets paid for it in time. If earnings fail to match s

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A creeping move lower in equities would eventually be ignored by Treasuries. But a large dump in equities would not. Treasuries are so far very much in vogue. In Europe, bond spreads are widening again as we head into another weekend of street unrest. Friday sees US jobs data competing for the spotlight, although Thursday's low claims were broadly ignored

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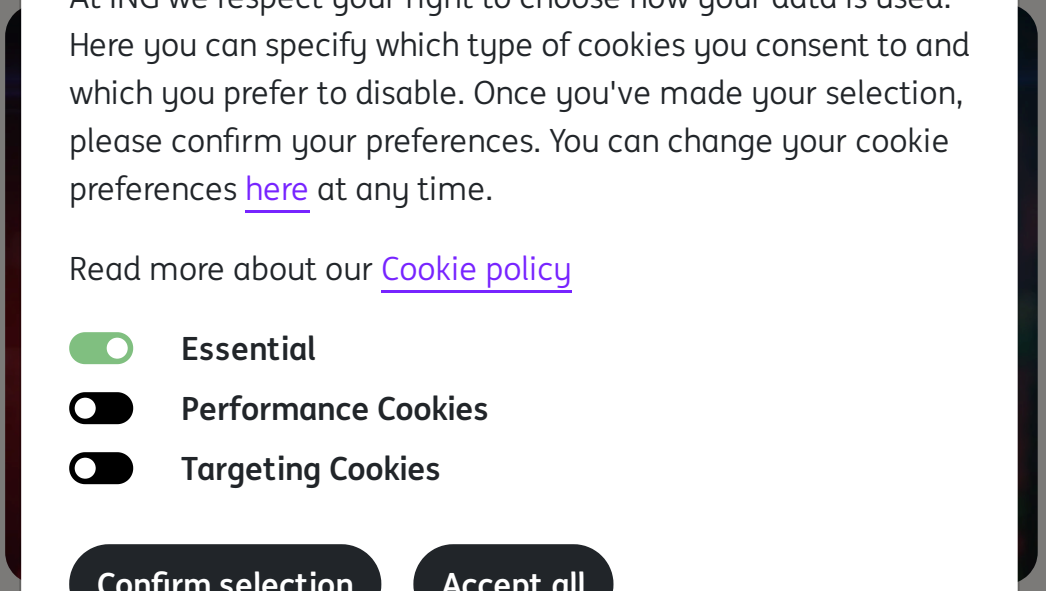

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A creeping move lower in equities would eventually be ignored by Treasuries. But a large dump in equities would not

The US 10yr yield is now down some 50bp from its recent highs. The drivers have been real money value hunters (mostly domestic, but also including international players), some fast money longs in Treasuries versus payers in SOFR in a short swap spread trade, and finally a risk-off tone in the AI space that's been counteracted by safety flows into Treasuries. The latter has been the dominant

driver of the last 10-15bp, which has taken the 10yr yield down to the low 4.80s%. Should the AI rout intensify, it's tough to see long-end yields doing anything other than trekking still lower in sympathy.

To what extent is this a US election-driven outcome? We could paint a narrative in which electorate support for fewer data centres and greater scrutiny of the AI space is a factor. To an extent, it is. But the bigger picture sees AI valuations generally under pressure. How long this persists is tough to call, but suffice it to say that the technical picture does not look great for the coming few weeks at least. The 4.65% area for the 10yr yield is where we could settle s

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by an extension of post-election positive risk sentiment, sentiment later soured on AI jitters. The VIX index – the equity market's fear gauge – jumped to the highest since March as tech stocks came under increasing pressure.

In bond markets, souring sentiment made itself felt in rewidening spreads. The 10y OAT/Bund spread ended its brief recovery below 150bp. To be fair, the market also found itself confronted with more headlines around protests in France, highlighting the political challenge the country faces trying to consolidate its finances.

Markets will be looking to the US jobs data to inform their Fed view. However, the data thus so has kept us well within the low-hire / low-fire narrative, so it would probably take a larger surprise to impact the market and take the eyes off the renewed AI concerns.

Bank of England opens door to hawkish repricing

The Bank of England hiked as expected, but revised inflation forecasts add additional upside risk to rates. Markets now price in a 50% chance that the next hike will be in December, and then at least one more hike later in 2027. Every committee member agreed t… s t… e… o…

H… e… a… e h… t… , b… t…

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The highlight of the day is the official US jobs report. The consensus is looking for 65k growth in non-farm payrolls for October, up from 29k in September. The unemployment rate is expected to stay at 4.2%. We will also get the preliminary University of Michigan consumer sentiment index, expected to stay at a dismal reading of 48. The Fed's Williams will speak in a fireside chat alongside ECB chief economist Lane at the ECB's money markets conference. Separately, the Fed's Musalem and Bowman are also scheduled to speak.

In primary markets, only Belgium will be active with a smaller-sized optional reverse enquiry auction.

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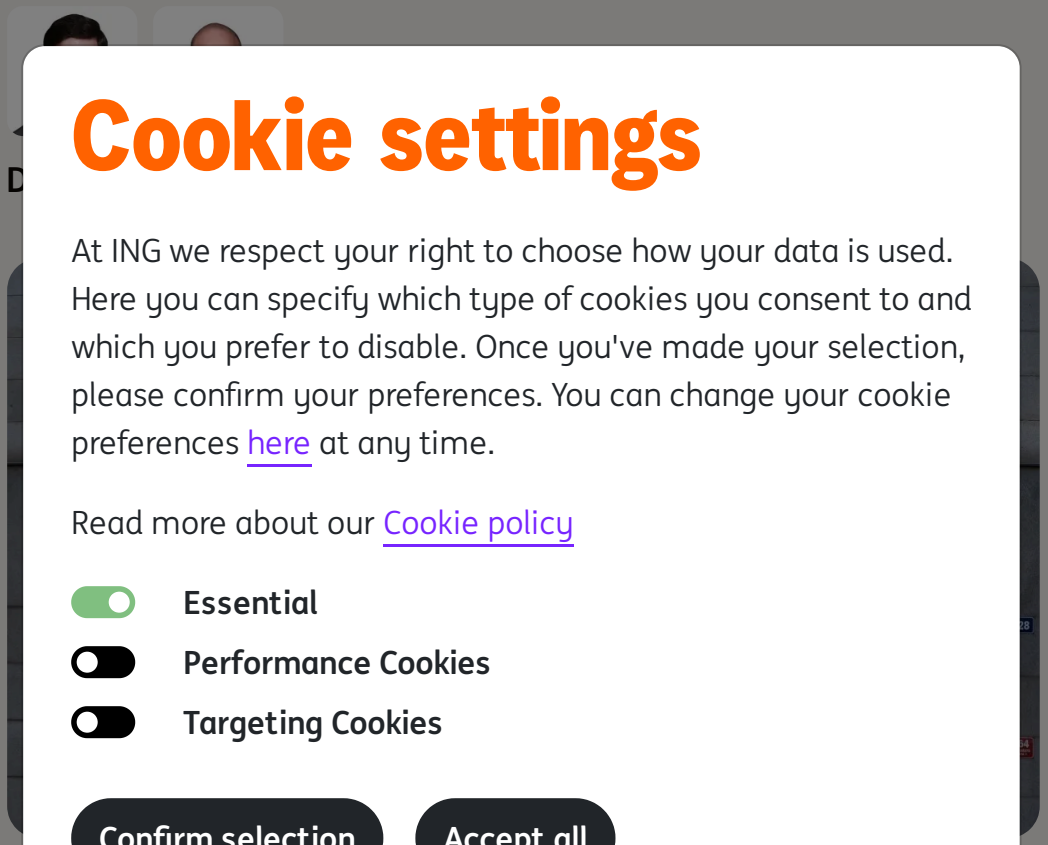
The CNB increased the policy rate to 4%, in line with market expectations. However, the decision was very close, a 4-3 split. The new CNB forecast is revised toward a punchier inflation amid a softer economic expansion, implying a higher rates trajectory. We see 4% as the new normal, while further hikes will be restrained by dwindling economic activity



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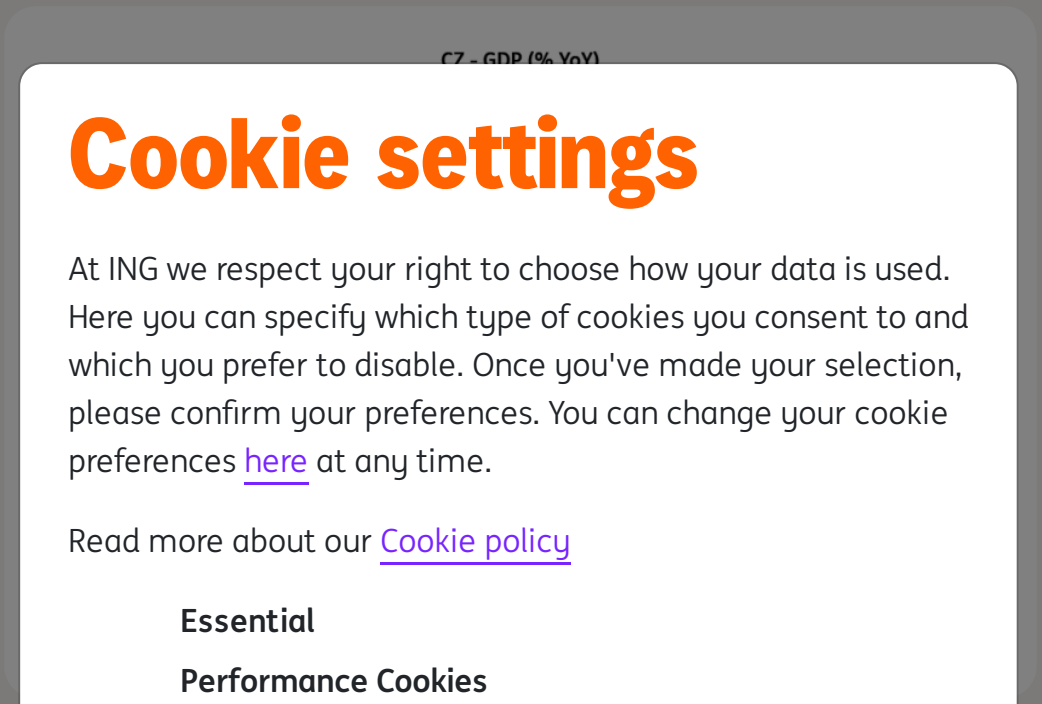
Punchier inflation amid mediocre economic performance

The CNB proceeded with a rate hike on Thursday, raising the base rate to 4%, which matches the expectations of market participants. The decision was taken in a split vote as four board members favoured a tighter monetary policy setup, while three policymakers opted for rate stability. The situation is perceived as inflationary, with persistently elevated core inflation, weaker exchange rate, and a still strong housing market, along with ample credit growth, seen

as the main forces to keep in check through a tighter monetary policy stance. Robust wage growth and expansive fiscal policy are also assessed as risks to price stability. The decision and the mood of the press conference are in line with our expectations in both respects: i) one rate rise in November, and ii) concerns about economic performance putting a lid on further tightening.

CNB's real GDP path remains on the optimistic side



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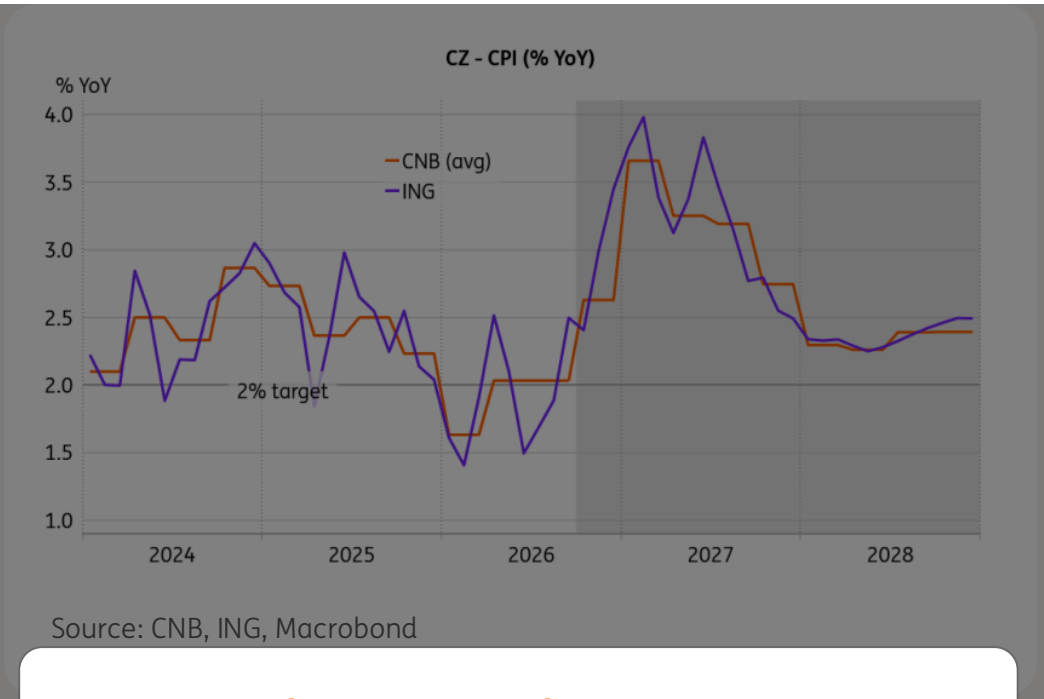
close to ING's view throughout the forecast horizon. Meanwhile, the CNB growth outlook remains a little optimistic compared with our view, especially for the coming year. As for short-term interest rate, the CNB forecast suggests a further increase up to 4.5% in the nearest future, followed by a gradual decline from 2Q27 to 3.5% at the end of 2028. We see such a trajectory rather as an alternative scenario, should inflation prove even stronger than in our forecast.

Forecast marriage in inflation



Source: CNB, ING, Macrobond

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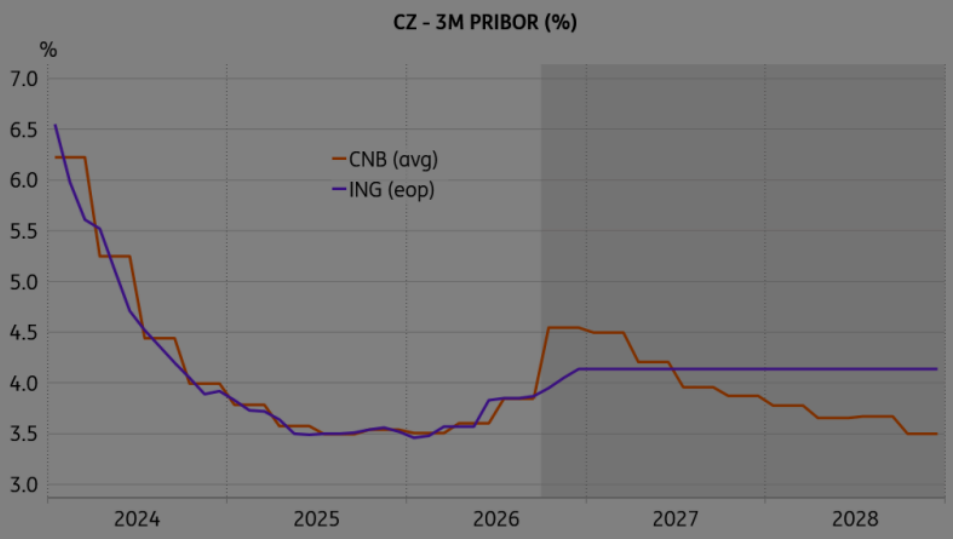
swiftly, while having inflation still running above your target and the economy growing around its potential? I have some doubts, but will stick to the old good maxim *in dubio pro reo*.

The bank board will likely smooth out the rates path



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onset of the US-Iran conflict, the CNB's forecast aligns closely with market pricing, with the PRIBOR rate peaking at around 4.55%. However, inflation is expected to worsen over the remainder of the year, approaching 3% and nearing 4% in the first quarter of 2027, bringing the new CNB outlook closer to our own forecast. We do not believe the current shift in energy prices justifies such a rally in CZK rates. The move appears excessive at this juncture. Consequently, we view two additional rate hikes as the minimum the market will

tolerate, and, given today's rebound, we anticipate a hawkish repricing.

EUR/CZK is facing renewed upward pressure. Indeed, if we take the shift in rate differentials at face value, the rates point toward 24.450. However, as previously noted, rates are likely to correct, as the current rate differential is too tight. Furthermore, the koruna benefits from strong seasonal support in November and December, which should help temper the current weakening pressure following the dovish CNB meeting. We therefore anticipate a new range of 24.350–24.400, little changed from our pre-meeting expectations.

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Poland's central bank is increasingly alert to inflation risks from the prolonged energy shock, despite limited evidence of second-round effects so far. Governor Adam Glapiński signalled that the Monetary Policy Council is ready to act if needed. We maintain our call for 50bp of rate hikes in 1Q27

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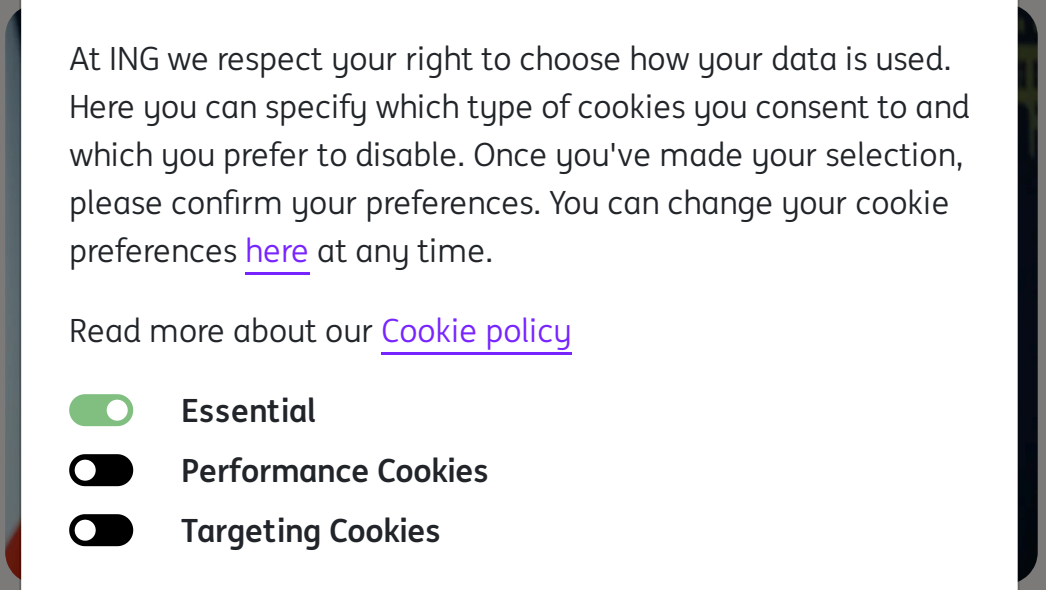

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Energy shock drives inflation up

At November's press conference, National Bank of Poland Governor Adam Glapiński noted that CPI inflation declined in October and returned to within the central bank's target range of 2.5% +/- 1ppt. Core inflation probably declined as well. At the same time, the war in the Middle East continues to keep energy commodity prices elevated, adding to global price pressures. European gas prices are currently 2.5 times higher than at the beginning of the year. A large part of the increase in inflation in Poland reflects more expensive commodities, although regulatory measures in the fuel market,

including price caps and lower excise duties and VAT, are limiting the impact.

External supply shock dominates, with no second-round effects so far

Elevated inflation is primarily the result of an external supply shock that is beyond the reach of domestic monetary policy. Adam Glapiński said there were no clear signs that higher fuel prices were spilling over into prices elsewhere in the economy. Nor has there been a strong increase in core inflation, with CPI excluding food and energy only slightly higher than at the beginning of the year.

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through into fertiliser prices with about a one-year lag, which in turn pushes up food prices. Under current legislation, the fiscal programme reducing fuel prices is due to expire at the beginning of next year.

A balanced assessment of the risks, but readiness to act

In recent months, the NBP governor has presented a balanced assessment of inflation developments. On the one hand, he noted that the rise in prices largely reflects an external supply shock, core

inflation remains relatively stable, wage pressures are moderate, economic growth is slowing, and companies have limited scope to raise prices. On the other hand, his comments on the outlook were less optimistic. He strongly emphasised that a prolonged energy shock increases the risk of higher food prices and the emergence of second-round effects. This is also one of our main arguments for expecting interest rate hikes in early 2027.

We maintain our call for rate hikes in 1Q27

Adam Glapiński stressed that the MPC is ready to act and that we are now approaching a point at which the outlook for inflation d
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purchase or sell any financial instrument.

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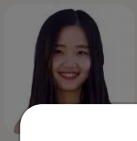
Energy affordability shaped the midterms. A divided government will now face pressure to shield consumers from rising data centre power costs while speeding up new energy supply. Onshoring and trade protections will continue, despite higher near-term costs, as energy security remains a priority



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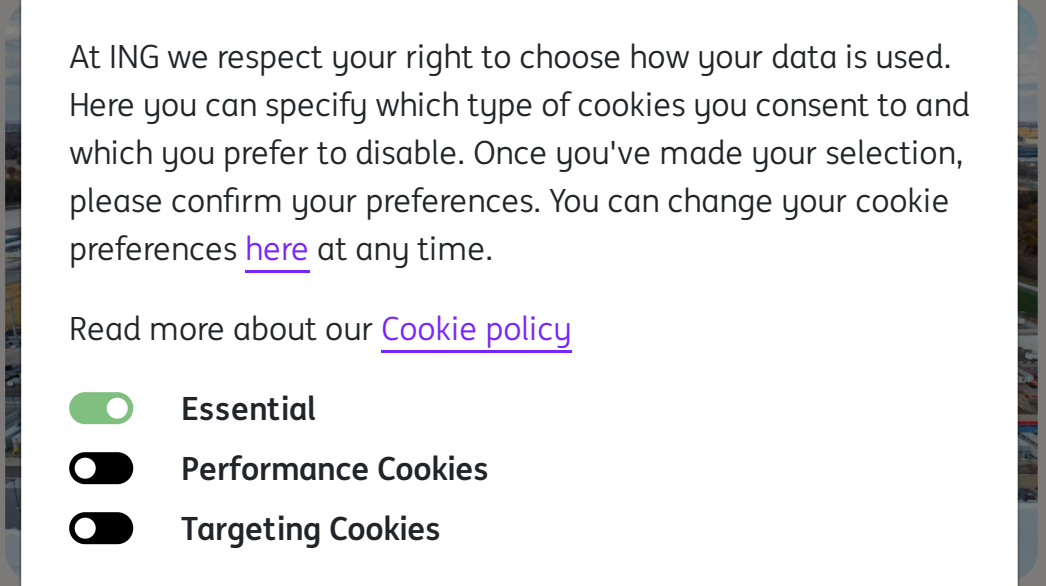

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Exit polls from the US midterm elections highlighted a key concern shaping voters' decisions: energy affordability. Nearly 90% of voters said the cost of living was a crucial or major factor in their vote for Congress, with many pointing to gasoline and utility costs. Meanwhile, as the AI data centre boom strains power supply and infrastructure, 56% said the issue was a crucial or major factor in their vote.

With Democrats now set to control both the House and Senate, what does this mean for US energy and data centre policy?

Newly elected lawmakers will face pressure to address these concerns, requiring the Democratic Congress and Republican White House to find common ground on shielding consumers from data centre-related costs and accelerating new power supply, including through permitting reform. Onshoring and supply chain protections are also likely to continue. While they can raise near-term costs, they remain important to US energy security. Developments in all three areas could have significant implications for businesses.

That said, Congress needs to strike a balance when drafting legislation aimed at achieving these goals. More aggressive measures could face a veto from President Trump.

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remain unlikely to become mainstream. Where they are introduced, they are more likely to be temporary, giving states time to develop a data centre policy framework.

At the federal level, the key unanswered question is how much authority should remain with the states and whether federal legislation should mandate state regulations or simply provide guidance. Republicans generally favour letting states lead, while Democrats tend to support a stronger federal role.

We think sweeping data centre legislation is unlikely because of President Trump's veto power. Federal action is more likely to focus

on affordability by protecting electricity customers from higher costs and formalising data centres' responsibility to help fund grid and energy infrastructure upgrades. Such measures could be added to broader legislation, such as must-pass spending bills needed to avoid a government shutdown, or a bipartisan package like permitting reform.

More broadly on AI, we expect the Democratic Party to increase scrutiny of technology companies, as discussed here, while utilising the next two years to prepare an AI governance framework for 2028 and beyond.

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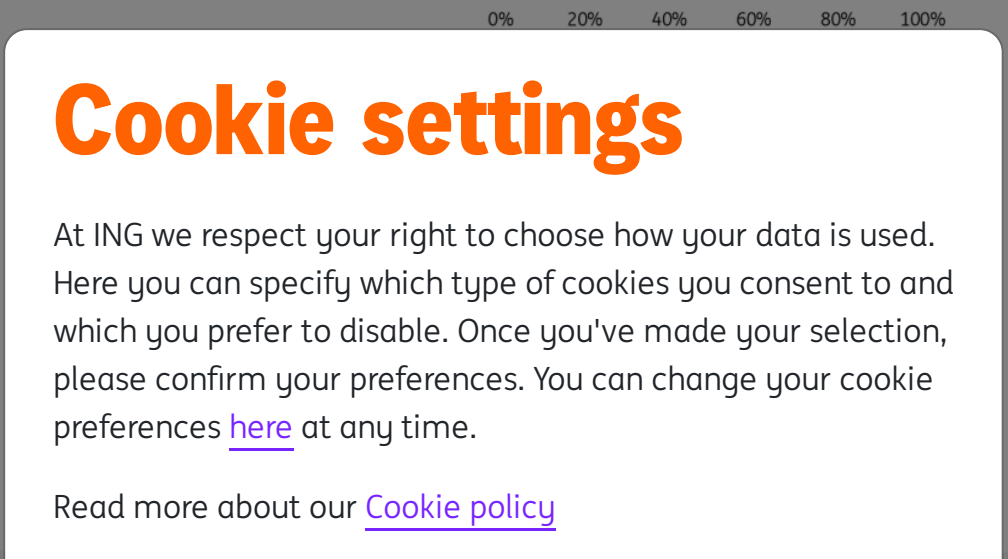
measured pace, ultimately improving the quality of the project pipeline.

Developers should also treat community engagement as a strategic investment. Recent surveys show that while only 20-30% of Americans support local data centre construction, support can rise to 50-70% when there are accompanying community investments, such as in public infrastructure improvements or reductions in residents' costs. More developers are now signing binding community benefit agreements as part of project development.

Finally, sustainability will become more important for project development, not only to meet potential environmental standards, but also to build community support. Read more here.

Americans' perceptions on local data centre construction, with and without community investment



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pressures. While Democrats and Republicans differ on the preferred energy mix, there is still common ground. Technologies likely to retain bipartisan support include nuclear, geothermal, carbon capture, and biofuels.

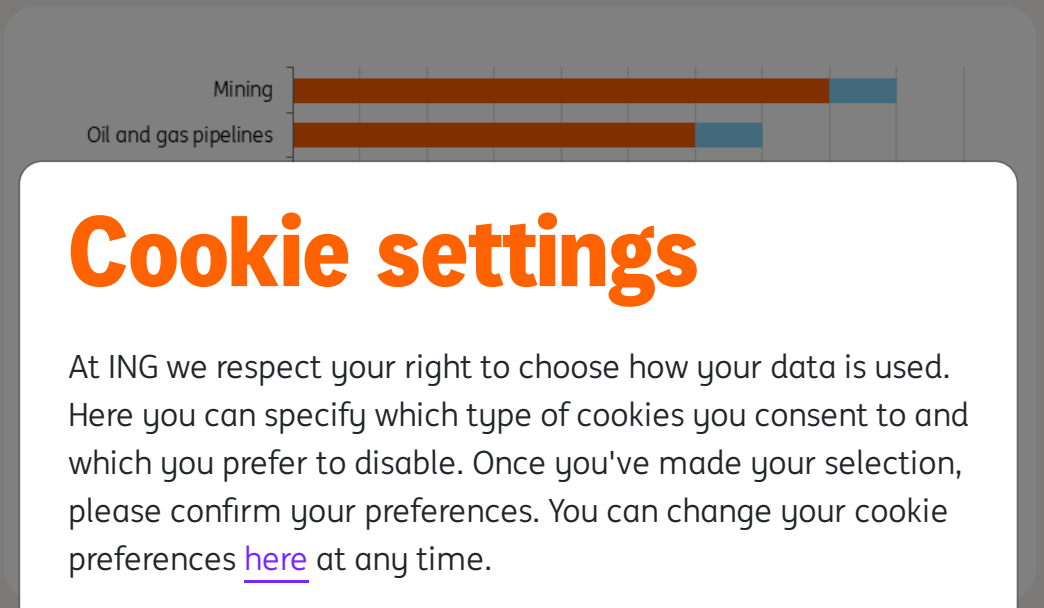
However, the greatest potential for policy action may lie not in specific technologies, but in permitting reform.

Today, many energy projects can spend over five years navigating the federal permitting process. Around $240bn to $280bn of infrastructure investment across the eight sectors below enters the

permitting pipeline each year. Lengthy delays can therefore leave substantial capital tied up and project benefits unrealised.

Average federal permitting time by sector in the US

Years; orange represents the lower end of the range, while blue represents the higher end



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- Making it easier to permit power transmission lines

Despite debate over its environmental impact, there is broad agreement that the BAAJA would meaningfully improve the permitting process. The key question is whether it can become law under the current Congress. The Senate is expected to vote on 9 November, after which the bill would still need approval from the House and President Trump. Democrats may want to delay the bill and seek changes once they regain control of Congress next year, but doing so could increase the risk of a presidential veto. This creates an incentive to reach a deal sooner rather than later.

Even if the BAAJA does not pass under the current Congress, permitting reform is likely to remain a bipartisan theme. The growing need to expand power supply and infrastructure more quickly will keep pressure on future Congresses to streamline permitting.

Business implications

For energy companies – both renewables and fossil fuels – the BAAJA could significantly shorten permitting timelines. If enacted, it would give project developers greater certainty,

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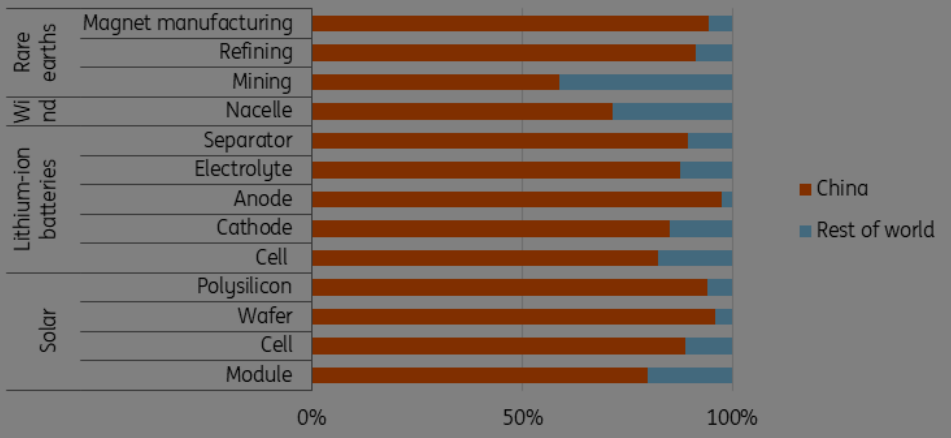
supply chains could outweigh those costs.

Global supply chain capacity distribution across various sectors



Source: ING Research, BloombergNEF, International Energy Agency

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opposition from Congress. Congress could also authorise additional funding to strengthen rare earth supply chains.

Furthermore, a Democratic-controlled Congress could push to extend clean manufacturing tax credits as part of broader negotiations with President Trump. Given the administration's focus on countering China and expanding US manufacturing, an extension could emerge as a compromise in a broader legislative package under an optimistic scenario. All these efforts would also extend into future administrations.

Business implications

For US companies:

Clean energy companies and other industries that rely on rare earths, including semiconductors, AI, defence, and electronics, should have enough policy certainty to build long-term supplier relationships outside China. In the near term, however, diversification could raise supply chain costs as alternative sources may be more expensive. Solar could face particular cost pressures, as some tariffs on supply

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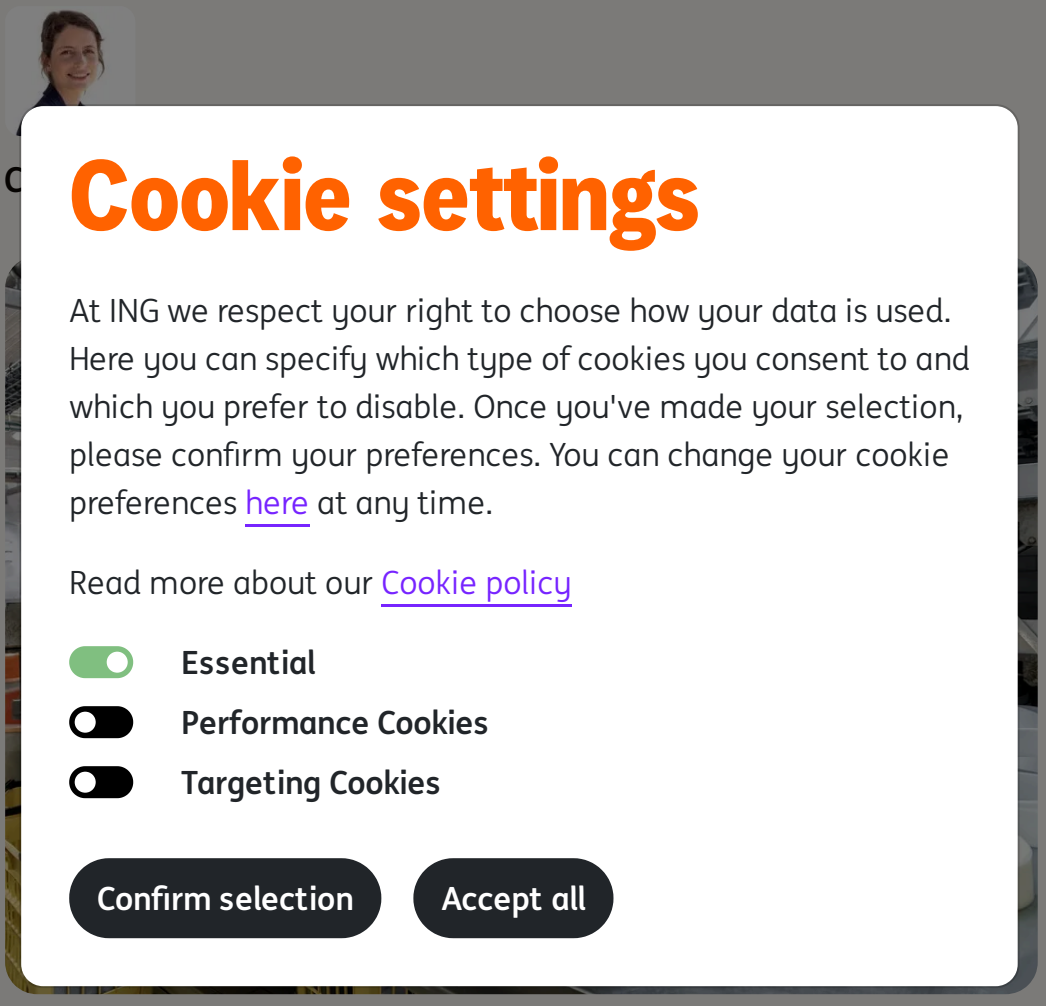
French manufacturing output rose for a second consecutive month in September, led by a sharp rebound in car production. But with output still below last year's level and construction firmly in recession, industry can only soften, not reverse, the economy's stagnation



French manufacturing output rose for a second consecutive month in September

Manufacturing output returns to its June level

There is finally some better news from the French economy. Manufacturing output increased by 0.5% in September, following a 0.3% rise in August, bringing production back to its June level. The improvement was relatively broad-based. Food production rebounded by 1.0%, while output of electrical, electronic and

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computer equipment rose by 2.6%, reaching its highest level since November 2023. Transport equipment production also increased by 2.7%, largely thanks to a 7.5% rebound in the automotive sector.

However, September's figures look more like a welcome recovery from previous weakness than the start of a sustained industrial upturn. Manufacturing output was still 0.9% below its level a year earlier. Transport equipment remained one of the main areas of weakness, with production down 3.8% year-on-year. Despite September's strong monthly increase, automotive production was still 9.3% lower than a year ago.

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under pressure in the coming months.

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Industry should outperform the rest of the economy

October's business surveys were relatively encouraging for industry, particularly compared with the deterioration in other sectors. Combined with a favourable statistical carry-over from the third quarter, this suggests that manufacturing could support activity in the final months of the year.

Still, the surveys predate the social unrest of 17 October, while order books remain weak, especially for exports, and tighter financing conditions are weighing on investment and inventories. Industry should therefore outperform services and construction in the fourth quarter, but not by enough to generate a broader recovery. After GDP contracted by 0.1% in the third quarter, growth is likely to remain close to zero.

Domestic demand is unlikely to provide much support

The outlook outside industry is weak. The rebound in household c
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Weak growth leaves even less room for fiscal manoeuvre

The budget process has since reached a new impasse. After 11 days of debate, the National Assembly unanimously rejected the revenue side of the 2027 budget on Wednesday evening, by 458 votes. The amendments adopted during the debate would have widened the deficit to an estimated 5.9% of GDP, well above the government's 5% target.

The government's initial draft will now go to the right-leaning Senate, which is expected to rewrite the budget by shifting more of

the adjustment from tax increases to spending cuts while seeking to preserve the 5% deficit target. An agreement between the two chambers remains highly unlikely, paving the way for the bill to return to the National Assembly, where the government could resort to Article 49.3. Alternatively, if parliament has not decided within the 70-day constitutional deadline, the government could implement the budget by ordinance.

This political deadlock comes on top of an increasingly difficult fiscal outlook. Under our forecasts, even the government's initial budget would leave the deficit at around 5.5% of GDP in 2027, above its 5% target. Yet the latest demonstrations are increasing p
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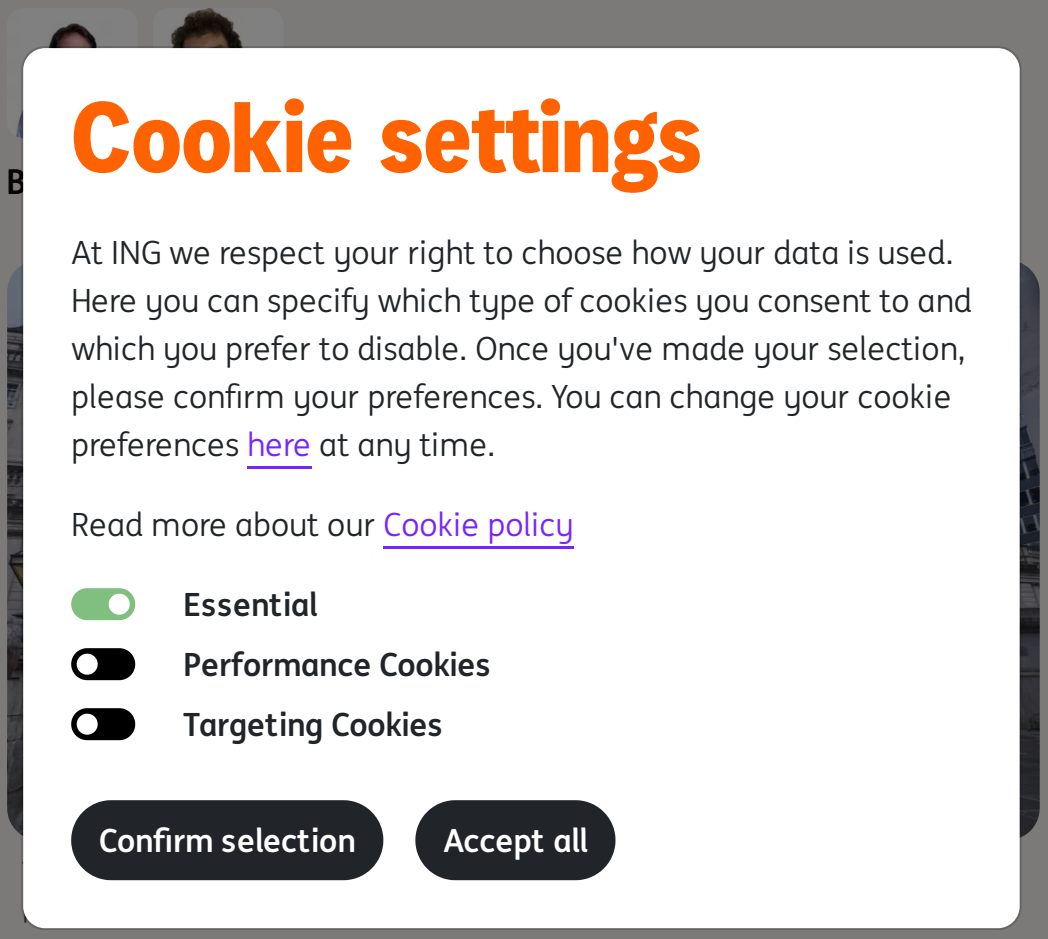
A win for the Democrats helped Brent oil ease below $100, benefiting European government bonds. But we cannot ignore a 4% eurozone inflation reading, showing higher energy costs are already passing through the economy. The same story applies to the UK, where the Bank of England will likely hike rates. But with 24bp already priced in, this won't be a surprise



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Euro rates like oil sliding below $100, but doesn't change 4% inflation reading

Market sentiment remains positive after Democrats won back both houses of Congress. The feed-through into European government bonds works via a noticeable easing in energy prices, with Brent sliding well below the US$100/bbl mark.

It eases the pressure on the ECB as markets see a greater chance that meaningful second-round effects can be avoided. Front-end

inflation swaps have dropped noticeably over the past few sessions, and the money market curve now only expects a little more than 50bp of tightening by summer next year. There is still a contrast to printed inflation, where we saw headline inflation rise to 4% in October with yesterday's release. We believe tensions will continue to be a source of volatility until time and data give markets more certainty about where we land.

Meanwhile in bond markets, 10y Bund yields slid below 3.3%. The 10y OAT/Bund spread has eased below 150bp, tightening more than 10bp on the day. We had pencilled in some spread tightening towards the end of the year mainly on the expectation that a 2027 b
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meeting, as much will depend on inflation data. Markets have become less correlated with oil and we think each inflation release in the coming months will be anxiously watched for second-round effects. We think inflation dynamics should start improving by mid-2027, warranting the start of a big repricing lower for GBP rates.

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Thursday's events and market views

We start the day with French industrial production in September, for which consensus pencils in -0.3% YoY growth. Other interesting data includes eurozone PPIs for September,

which is expected to increase by 10.6% YoY on the back of higher oil prices. From the US, we have challenger job cuts and weekly jobless numbers.

Spain will auction around €6.75bn across 5y, 10y and 14y SPGBs and a 7y SPGBei. France will auction €12bn across 10y, 12y, 17y and 31y OATs.

Rates Daily

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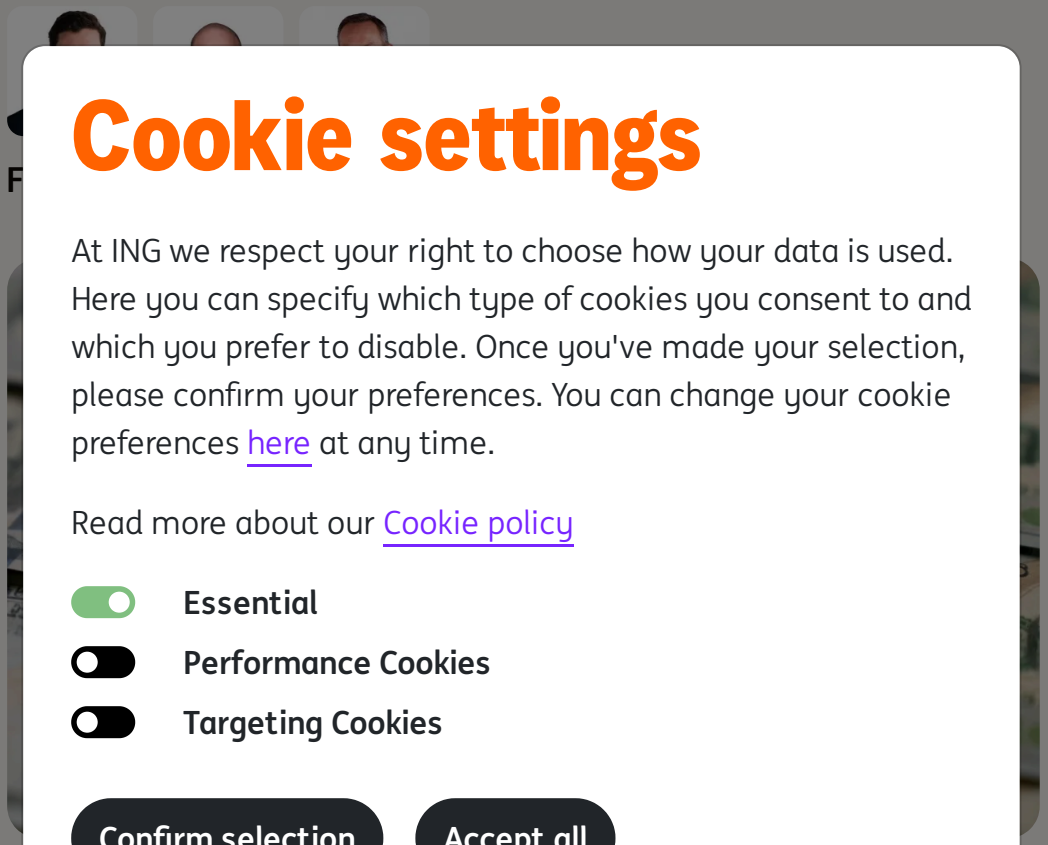
The post-midterm dollar correction requires a worsening of USD rate differentials to turn into a downturn. But as oil prices fall, other central banks are facing similar or even larger dovish repricing than the Fed. Data is key now, but indications are that they won't turn USD-negative soon. Today, expect a hike in the UK and rate holds in Norway and Mexico



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USD: Front-end rates should prevent a bigger decline

The Democratic sweep at the midterms delivered the negative dollar impact we had expected. But as we argued before the vote, we didn't see a case for a bigger USD downturn. In our view, rates need to start moving against the dollar to justify a greater adjustment, unless idiosyncratic US asset underperformance fuels the move. But fears that a Democratic sweep would hit tech stocks didn't materialise. Instead, a potential relief that the midterm risk

event is out of the way, alongside plummeting oil prices, is fuelling an equity rally.

The key hurdle for a bigger USD downturn is that lower oil prices are not unequivocally USD-negative. Let's look at yesterday's moves in rates. As crude dropped 8%, two-year USD swap rates fell 5bp, broadly in line with CAD, AUD and SEK swaps. EUR, GBP and NZD 2yr swap rates, however, fell more, by around 8-10bp. To us, that is the most compelling argument against chasing the dollar much lower. Poorer US data and/or a more dovish Fed remain the necessary conditions for front-end USD rates to fall more than peers, and by extension for a broader USD downturn.

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peso has been the worst-performing EM currency over the last two months after Banxico said it would not be following the Fed with a rate hike in September. In fact, some are looking for Banxico to heap more fuel on the peso's fire with a rate cut today. Such a move could see USD/MXN push to 19. Either way, Banxico has slashed the peso's rate protection to ultra-low levels, and the peso remains very vulnerable to global shocks.

Chris Turner

EUR: Knot pitches his hawkish agenda

Klaas Knot delivered a few remarks yesterday after the Netherlands officially backed his candidacy for the ECB presidency. He was firmly hawkish, claiming second-round inflation effects will probably pick up, and that the ECB will need to respond with higher rates to small shocks that will lift inflation. We'll wait to hear from Pablo Hernández de Cos, who is the other frontrunner for the job, and a long-standing dove. An appointment of Knot would be a EUR-positive event given his hawkish views, in our view.

Meanwhile, eurozone inflation accelerated from 3.8% to 4.0% as expected in October. That brings the ECB closer to a December hike, as argued here by our macro team, even if core inflation remained a

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V % (full preview here), in line with market expectations and consensus. A roughly 25% rise in household energy bills in January now looks increasingly likely, and we expect headline inflation to peak just above 4% early next year. That has often been indicated as the pain threshold for the BoE. Still, evidence of second-round inflationary effects remains limited.

We expect a 7-2 vote for a hike, and don't see the BoE committing to further tightening at this stage. A follow-up move in February remains our base case, but policymakers should keep the emphasis firmly on incoming evidence of energy pass-through into

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wages and prices. An explicit signal that further hikes are likely would therefore constitute a hawkish surprise.

We think today's hike can validate the pound's recent gains, for now. However, a February hike is fully priced in, and the bar for a hawkish surprise lifting the pound seems fairly high. We don't see immediate rebound potential for EUR/GBP, which is still dampened by the French effect, but GBP/USD is facing a less supportive short-term rate differential, as the GBP curve shows greater dovish flexibility when oil prices drop. We currently expect stabilisation around 0.840 in EUR/GBP, while Cable may see its upside capped at 1.350 in the near term.

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March.

The krone is facing some headwinds due to the big drop in oil prices. However, it's protected by much less hawkish pricing than other central banks, therefore facing less dovish pressure on energy price corrections. Yesterday, the NOK two-year swap rate dropped only 2bp. While this oil move can take EUR/NOK back to 10.50, a return to $80-85/bll may be needed for a return to the late September 10.90 levels. We see the pair ending the year in the 10.55-10.65 area.

In Sweden, following yesterday's 25bp rate hike, inflation figures for October came in well below consensus. CPIF slowed more than expected to 1.1%, with the core measure excluding energy plummeting to 0.1% YoY from 0.5%. These were preliminary figures, and expectations are anyway of a pickup to above 2.0% in both CPIF and the ex-energy measure in 2027, in our view, justifying another hike in February. That likely explains the contained SEK reaction to the print. Still, these figures support our view of a consolidation around 11.00 in EUR/SEK as opposed to another big leg lower.

Francesco Pesole

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NBP's first rate hike until the first quarter of 2027.

In the Czech Republic, we expect the CNB to hike rates by 25bp to 4.00%, the second such increase since the onset of the US-Iran conflict. The CNB remains the most hawkish central bank in the CEE region, and its new forecast is expected to reinforce this stance. The updated projections will likely point to higher inflation, interest rates, and wages, alongside a hawkish external environment, while the GDP growth forecast will likely be revised downward. The CNB has scaled back its forward guidance. We do not expect firm commitments regarding future policy steps today, but rather an

indication that the door remains open for further hikes if necessary. Given the rally in interest rates over the past few days, the threshold for a "hawkish" surprise is lower. The market is currently pricing in roughly 80bp of tightening, down from a peak of 125bp. That said, the CNB has generally delivered less hawkishness this year than the market anticipated, often resulting in a weaker currency and lower interest rates following its meetings.

The global narrative following the US midterms remains robust, and a sharp drop in oil prices could easily overshadow today's meetings of the NBP and the CNB. This sense of relief is supporting CEE currencies and pushing rates lower. A dovish tone from the NBP s
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purchase or sell any financial instrument.

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The opinion polls called it right with sweeping victories for the Democrats in the midterm elections. The key question is whether the president will look to secure deals or whether gridlock on the domestic front will force him to look outwards

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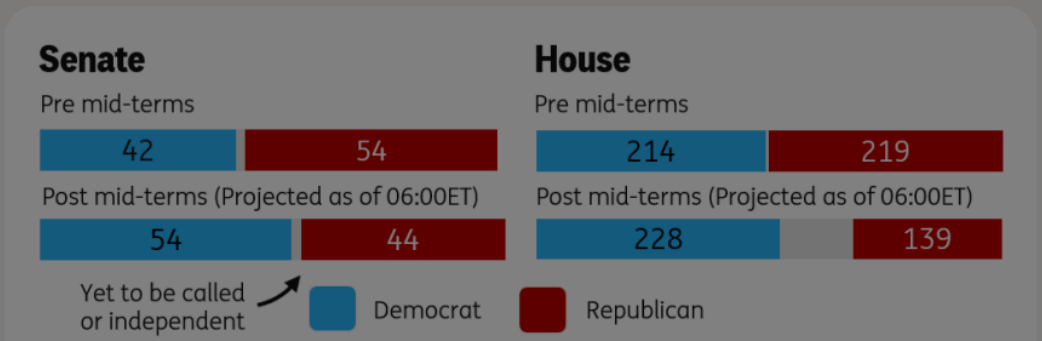
The results are in and it's a big Democratic victory

With most votes counted, it's clear the Democrats have secured a decisive victory in the US midterms, claiming majorities in both the Senate and House of Representatives. Though this outcome had become the consensus in recent weeks, the scale of the Democratic victory in the Senate in particular is noteworthy. Wins in Texas, but also in less expected states like South Carolina, Kansas and Iowa,

symbolise a major shift in American political opinion since the last election in 2024.

US midterm results (as of 06:00 ET)



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Source: New York Times, ING

Dealmaker-in-Chief or Mr Veto?

The Republican majorities in the House and Senate in the first half of Trump's presidential term allowed him to sign the One Big Beautiful Bill Act into law in July 2025. Other legislation included the Laken Riley Act, which tightened immigration and border policy, the GENIUS Act, which created a regulatory structure for stablecoins, the HALT Fentanyl Act on drugs and the TAKE IT DOWN Act on online regulation.

The obvious outcome from the result on Tuesday is that a Democrat-controlled Congress will stifle President Trump's domestic agenda in his final two years in power. A bill has to be approved by both the House and the Senate before being passed on to the president to sign or veto. With the Democrats having control of the legislative agenda in the House and Senate, the president has already warned that he will likely become "Mr Veto". The only way to overcome that would be for the Democrats to secure a two-thirds supermajority in both houses. That isn't the case after last night's results.

The consequence is that spending and tax proposals, as with most d
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October's shutdown, which depressed GDP growth in 4Q 2025 by a full percentage point. The Federal Reserve risks "flying blind" again with no government economic statistics being collated or released.

What the Democrats can seek to achieve

Key sectors of corporate America will be nervous that Democratic control of important oversight committees could bring greater scrutiny. More congressional hearings involving AI and technology business leaders would be a likely outcome, while a strong performance at the ballot box may embolden local Democratic

leaders to try to stall unpopular data centre construction in their constituencies. Fossil fuel producers may face similar challenges.

Democrats will likely feel even more confident about pushing back against President Trump's policies on Iran, support of Israel and any escalation of tariffs. They may apply more pressure on the president to sound tougher towards Russia and to provide support to Ukraine, but the final call will remain with the president.

Investigations into President Trump, his family and members of his administration may also be stepped up as Democrats exercise their greater powers. Inquiries into finances and business dealings could re
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What will the president do?

A key question is whether a constrained President Trump, entering the final phase of his tenure, becomes more willing to accept political or market disruption in pursuit of his objectives.

If there is little sense of any compromise, the ensuing gridlock in Congress would leave the president to focus on areas where he can exercise executive power: 1) foreign policy and diplomacy, including trade policy, 2) national security and defence, 3) law enforcement and regulatory policy, 4) personnel appointments (subject to Senate approval), and 5) administration and management policy.

This suggests Iran, Russia/Ukraine and tariffs/trade policy are likely to be the focus for the president. Tariff policy could increasingly be used to incentivise foreign partners to align with US foreign policy objectives, for example by pressuring NATO members to increase defence spending.

More fundamentally, heavy defeats in the House and Senate will be interpreted as a referendum on President Trump's policies and potentially prompt figures within the Republican Party to take the view that it is time to open the debate on its future direction. With Trump's influence set to fade, leading lights within the party, most notably JD Vance and Marco Rubio, may attempt to shore up

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marginal, given the risk that tariffs also push inflation higher. Overall, we retain a bias towards the 10-year yield heading towards 5.25%.

The dollar is softer on the outcome, though it has recovered from its lows seen in early Asia when a sharp fall in Nasdaq futures was warning of a larger re-pricing of the tech story. Nasdaq futures have since retraced the majority of those losses. Limiting a larger dollar correction on this news is probably a still-resilient US economy and at least one more rate hike from the Federal Reserve. The dollar could see a little more weakness into 2027, however, if an

emboldened Democratic Party takes greater issue with Republican policy, including deregulation and the AI build-out. And the potential for a prolonged government shutdown in mid-2027 adds to the case for a weaker dollar next summer.

What it means for Europe and China

With the outcome of the vote limiting President Trump's options at home, he is likely to focus more heavily on foreign and trade policy. The result could be greater volatility and uncertainty for the global economy.

This will clearly affect Europe. A forced deal between Russia and U
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the president's patience and slow the pace of defence spending increases, particularly given their own fiscal constraints. Alternatively, and less likely, a stifled but less angry Trump administration could try to bring the wars in Iran and Ukraine to an end. Constrained by Congress and the Supreme Court on trade, it could ultimately, intentionally or otherwise, end up indirectly supporting the European economy.

China's main response will be to wait and see, as it will react to actual policy changes rather than the shifts within Congress. The

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main potential trigger points would be Taiwan arms sales, tariffs and other trade/investment restrictions.

Personal ties between the two leaders appear good, but with President Trump's policy focus being channelled towards foreign and trade policy, China could end up in the crosshairs again. The trade truce is set to expire in January, and it seems like both sides are not interested in going back to the mutually destructive peak tariff scenario we had in 2025, but it cannot be ruled out. As with Europe, if Trump appears weakened by the outcome of the midterms, China could sense that it is time to start looking beyond 2028, triggering a revaluation of its long-term US strategy.

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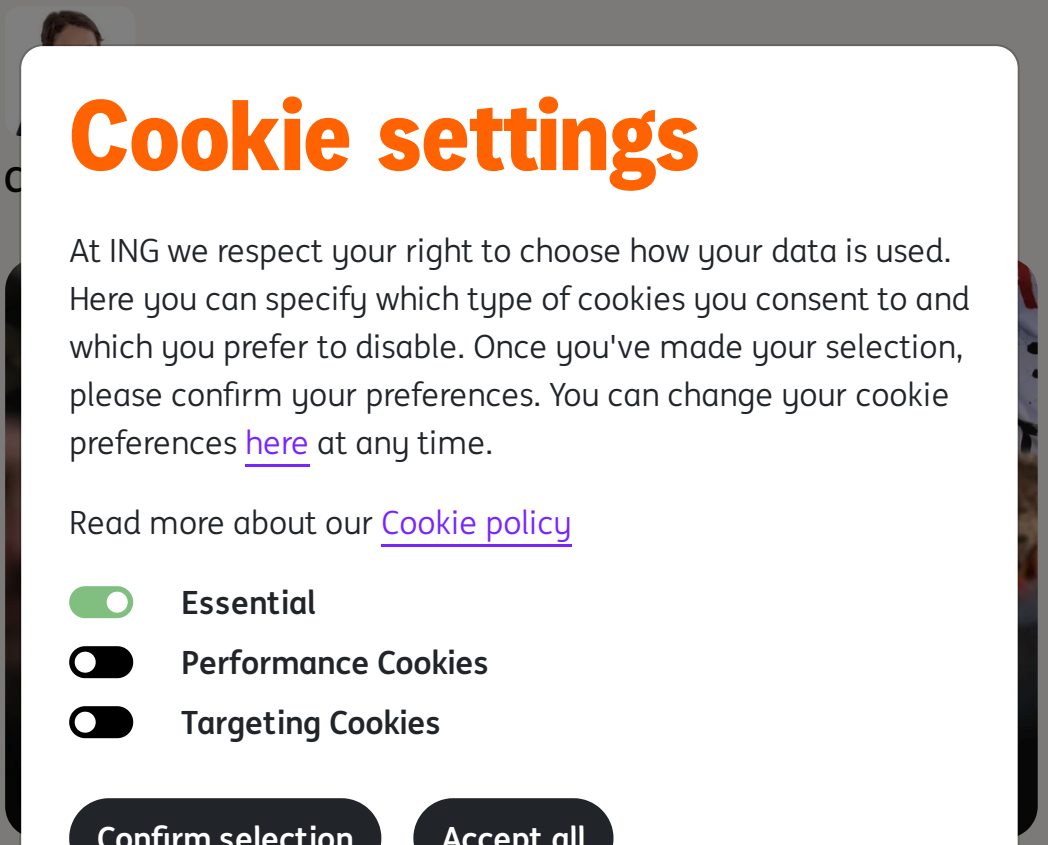
Thursday's nationwide mobilisation over wages and purchasing power will add pressure on a French government already struggling with weak growth, a fragile labour market and an increasingly unmanageable budget. Its options for responding to social discontent are narrowing as higher borrowing costs further weaken the outlook for public debt



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Pressure mounts for action on purchasing power

What began as a student-led protest has grown into a broader social movement, adding to the government's challenges as it struggles to get its 2027 budget through parliament.

The mobilisation continued during the school holidays, with between 320,000 and 500,000 people taking to the streets last Saturday, fewer than in previous weeks but hardly the pause the

government had hoped for. The next test will come on Thursday, 5 November, when all the main trade unions will mobilise over wages and purchasing power, with students and public sector workers expected to join the protests.

Under pressure, the government is considering raising the minimum wage by more than the automatic increase of around 1% due in January, possibly adding another 0.5 to 0.6 percentage points. This would be the first discretionary increase since 2012. But employers are strongly opposed, as they are already facing higher labour costs through planned cuts to social contribution exemptions. A further rise in the minimum wage could therefore e
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Budget talks are producing a larger deficit, not a solution

These pressures are making an already difficult budget equation even harder to solve. After 10 full days of debate and more than 2,300 amendments examined, France's 2027 budget discussions appear to be going nowhere, except towards a larger deficit than the government intended. While the government aims to reduce the deficit to 5% of GDP in 2027, after an expected 5.4% in 2026, the measures approved so far have pushed it substantially further off course. According to the Finance Ministry, the amendments adopted during the first reading have already worsened the

projected deficit by €23.9bn (total deficit in 2026 will be around €165bn).

The vote on the revenue part has been postponed again, as MPs continue to adopt measures pointing in all directions. Yet the exercise increasingly makes little sense: the fragmented National Assembly is unlikely to approve the budget, leaving the government with two possible escape routes. It could use Article 49.3 to pass the bill without a vote, but would first need to negotiate with parts of the opposition to ensure that a subsequent no-confidence motion fails. For now, there are few signs of such talks. If the motion passed, the government would fall and the b
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hovering close to recession.

The details of the third-quarter figure were also weak: investment fell by 0.6% and net trade subtracted 0.6 percentage points from growth as exports dropped sharply, while inventories provided a temporary offset. The only real positive surprise came from household consumption, which rose by 0.4%. But there is little reason to expect this momentum to last. Consumer confidence fell by five points to 80 in October, its lowest level since June 2013 and well below its long-term average of 100. Households' assessment of whether this is a good time to make major purchases dropped

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sharply, while fears of unemployment increased. Most strikingly, their assessment of living standards fell to its lowest level since the survey began in October 1972. This points to much weaker consumption in the coming months.

The outlook for investment is equally weak. Financing conditions are deteriorating particularly sharply in France: according to the latest ECB Bank Lending Survey, a net 27% of French banks tightened credit standards for businesses in the third quarter, compared with around 8% in Germany, no tightening in Spain and an easing in Italy. Together with weak demand, higher interest rates and uncertainty over taxes and public spending, this is likely t

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uncomfortable. The government had expected public debt to reach 121.7% of GDP in 2027, already a level at which a 5% deficit would be insufficient to stabilise the debt ratio. With growth now likely to be weaker and the deficit higher than assumed in the budget, debt will probably rise even further, and there is little prospect of stabilisation anytime soon.

The sharp rise in borrowing costs only makes the arithmetic worse. The French 10-year yield is currently around 4.9%, more than 155bp above its German equivalent, compared with a spread of around 70bp at the end of 2025. Admittedly, the increase in market

yields feeds only gradually into the effective cost of the debt as existing bonds mature: the implicit interest rate on French public debt is still around 2.2% in 2026. But this also means that a substantial part of the rise in interest costs has yet to come through. Fitch estimates that France would need to reduce its primary deficit from around 2.9% of GDP this year to just 0.4% to stabilise the debt ratio. The adjustment required would become considerably larger if the effective interest rate on the debt gradually converged towards current market yields.

And the 2027 presidential election is unlikely to provide an easy reset. A new president could again find her or himself without a

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simultaneously easing the pressure on the public finances, the government has very limited room to offer measures large enough to make a meaningful difference without making an already worrying fiscal trajectory even worse.

Strikes | Public finances | GDP | France | Eurozone | Deficit

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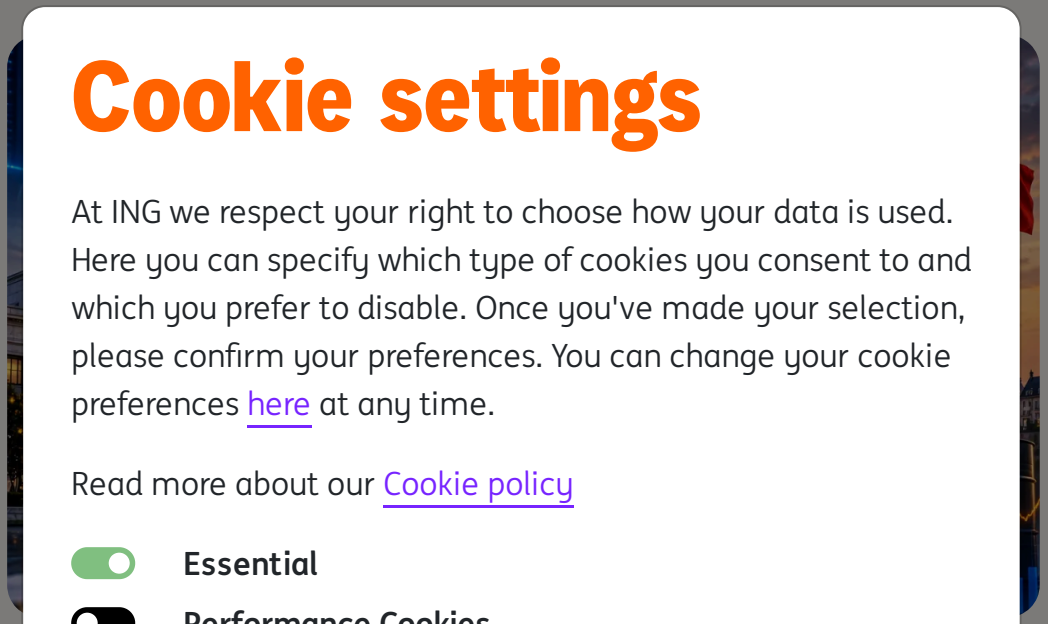
Join ING's economists on 10 November as they share their biggest calls for 2027, plus the risks and surprises that could knock the global economy off course. Sign up here

Carsten Brzeski, James Knightley, James Smith and Rebecca Byrne



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crashing down, taking business investment with it? Can Europe's surprising economic resilience continue, or will dramatic elections, political brinkmanship and rising bond yields herald a return to stagnation?

Join ING's economists on Tuesday 10 November as we launch our **2027 Economic Outlook**. We'll take you through our biggest calls for the year ahead, and the unexpected twists that could knock the global economy off course. Sign up here.

You'll learn:

- Whether the US growth story can keep defying expectations, powered by booming AI investment and resilient consumer spending
- How higher energy prices and political upheaval could reshape the outlook for Europe's major economies
- Where inflation is heading and whether we'll see second-round effects from the mounting energy crisis
- What we expect from the major central banks, including the Federal Reserve, European Central Bank and Bank of England

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Economic outlook

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Is COP still worth following? We think so. What matters for businesses is whether this year's COP31 can improve the business case for action. Here are four areas to watch

Coco Zhang and Gerben Hieminga

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energy demand... they have all made it harder for governments to turn climate commitments into action.

That raises an important question for businesses: Is the Conference of the Parties (COP) still worth following?

Our answer is yes.

Businesses do not just invest in climate targets; they invest in viable projects and operations. But many of them still face economic and practical barriers. Grid constraints and high electricity costs can slow electrification. Greener industrial products can struggle to

attract buyers willing to pay a premium. And climate adaptation plans do not always translate into investable projects.

Businesses cannot solve these challenges alone. In a 2025 UN survey of more than 2,000 CEOs across 128 countries, 92% said strong global governance and coordinated policy are “critical” or “important” to implementing their sustainability agendas.

That is why COP is still relevant. It can help align policy priorities, improving investment conditions, and connecting businesses with the right resources. At COP31, four areas will be particularly important for businesses to watch.

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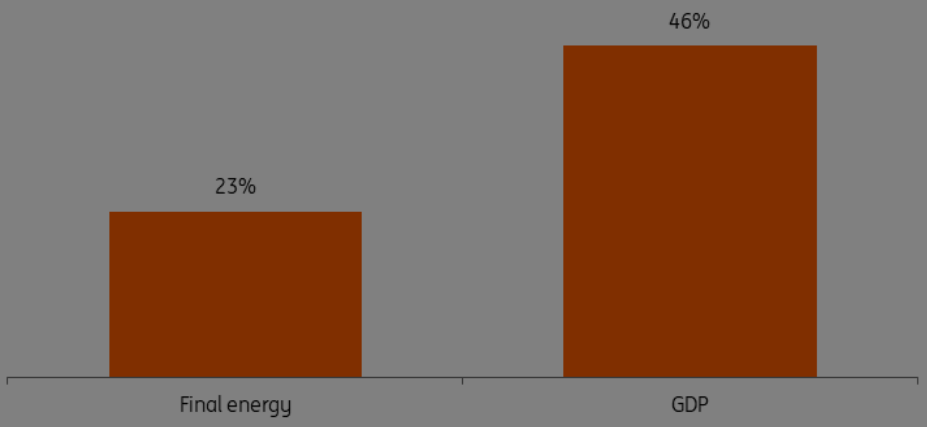
Global share of electricity in final energy and GDP, 2025, in %



Source: ING Research, International Energy Agency

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into direct technical assistance and ready-to-deploy models

- Set country- or sector-level targets and pathways to encourage industry alignment and commitment
- Improve access to finance by expanding dedicated financing for developing countries, while lowering upfront costs in Europe
- Improve the economics. Coordinate energy pricing reforms to make electrification more competitive with fossil fuel combustion alternatives, including by reducing taxes and grid fees that raise electricity prices
- Strengthen infrastructure by encouraging governments to reduce permitting barriers (e.g. Europe and the US), advance

regulatory support for power demand flexibility, and expand cross-border grids where needed (e.g. Southeast Asia)

If COP31 delivers meaningful action in these areas, the implications for businesses could be significant. Stronger policy could accelerate near-term grid connections and enhance long-term investment confidence. Meanwhile, companies may need to work more closely with utilities and regulators to secure the power they need.

Green industrialisation remains critical

But electrification is only part of the story. Industry is another major source of process emissions, with sectors such as steel

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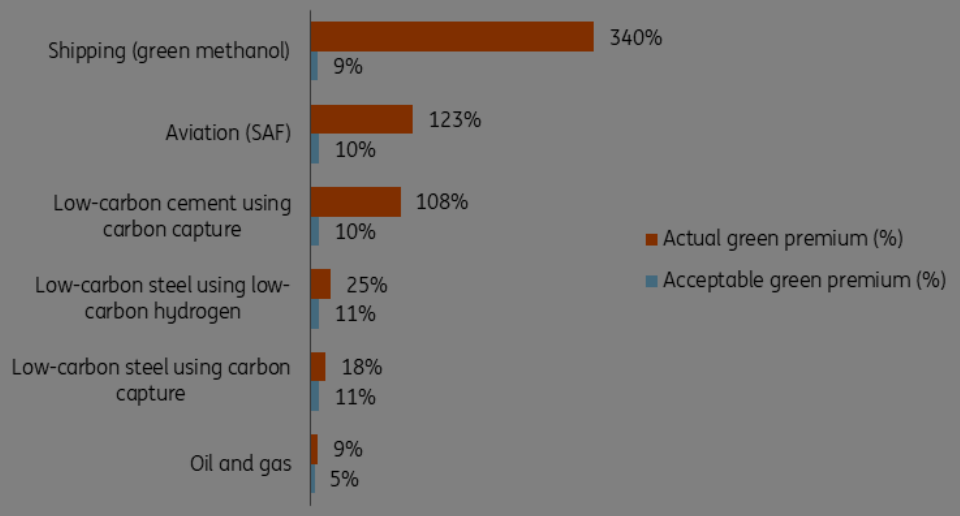
cleaner industrial products remains limited. And the necessary infrastructure for many is still underdeveloped.

Hard-to-abate sectors' green premium is way higher than what companies are willing to pay

Difference in cost, low-carbon versus conventional products, in %



Source: World Economic Forum, ING Research

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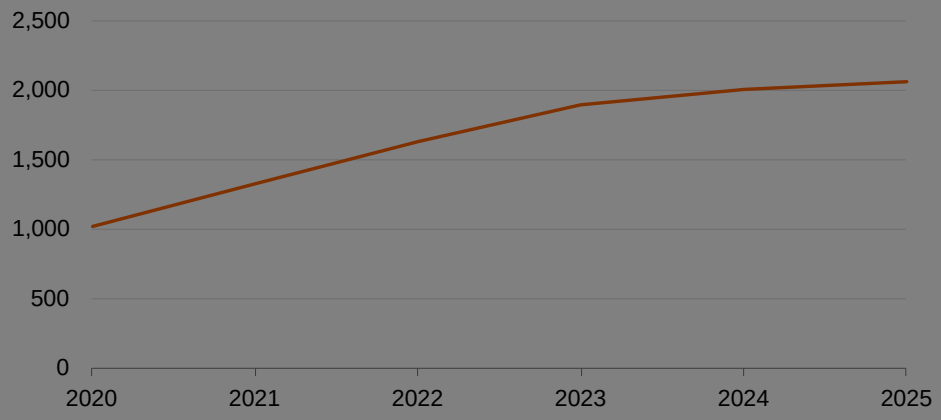
Global climate finance continues to grow

Finance levels in $bn



Source: Climate Policy Initiative, ING Research

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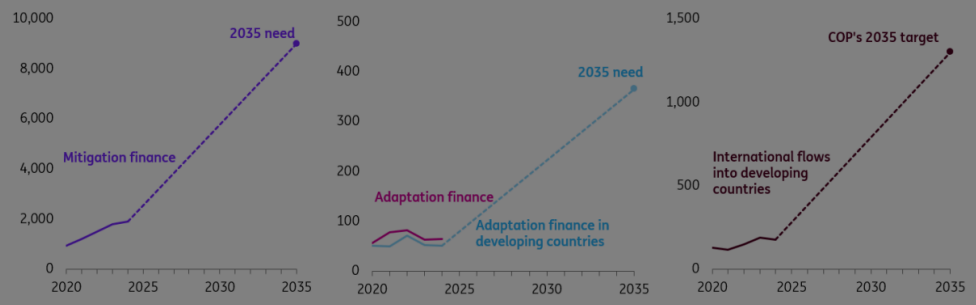
finance

Finance levels in $bn



Source: ING Research, Climate Policy Initiative, UN, UNEP, Natural Resources Defense Council

More climate products and solutions are emerging in the latter two s… …e it … …e a… h… …ll l… f… s… i… …s.

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B… b… p… h… …y affecting supply chains across sectors. In aggregate, physical climate risks could cost companies in the S&P Global 1200 index $1.2tn annually by 2050.

One barrier to corporate investment in climate adaptation is that it is still seen primarily as a way to avoid losses. But adaptation can also create business value. Investments in resilient assets, cooling systems, supplier diversification and climate-resilient materials can improve reliability, competitiveness and long-term growth. Research from the World Resources Institute suggests that every $1 invested in adaptation can generate up to $10 in benefits. That return could be even higher for highly climate-exposed sectors. For

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example, the World Economic Forum estimates returns of $19–$43 per dollar invested in the food and beverage sector.

COP can help turn adaptation priorities into investable projects. Since the Paris Agreement, countries have developed National Adaptation Plans (NAPs), but many remain high-level and lack specific, actionable projects. Recent COP efforts have sought to change this by encouraging governments to translate their NAPs into portfolios of investable adaptation projects.

But identifying projects does not guarantee financing. This is where COP31 could make a difference. Its proposed Climate

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coordination and strong policy support. COP can bring governments and businesses together to provide such a framework, even amid geopolitical tensions and concerns over slowing progress. COP31 may not deliver a landmark global agreement, but practical advances in these four priorities could still have immediate relevance for businesses.

Sustainability | Corporates

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AT1 reform may remain on the back burner in 2027, leaving the instruments' role in bank capital largely unchanged. Solid fundamentals remain supportive, while supply should be manageable – but tight(ish) spreads and low reset levels could weigh on the market

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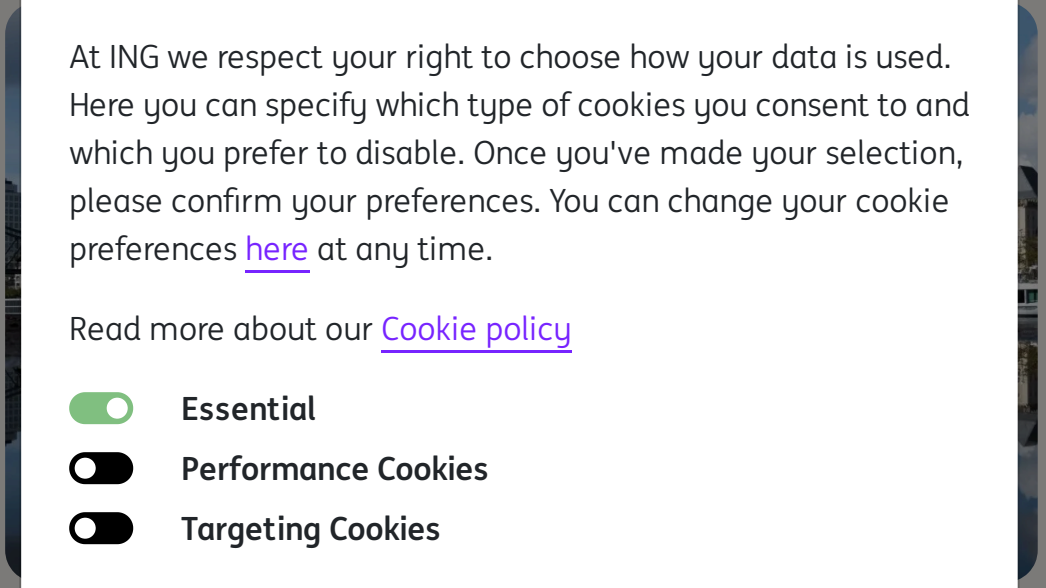

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AT1 reform remains on the back burner

The European Commission published its report on competitiveness in the banking sector in July but did not include much in the way of proposals for AT1 bank capital instruments. The report mainly focused on reducing complexity, reporting requirements and improving competitiveness for Europe's banking sector.

For AT1, this probably means that the instruments are unlikely to be phased out anytime soon. What is somewhat relevant for AT1s is the Commission's intention to reduce complexity for bank capital structures. This includes making the Pillar 2 requirement and

guidance more transparent, while the Commission also proposes to consolidate parts of the buffers into two buffers: one that can be released in periods of stress, and another that would be maintained in all scenarios.

This, in theory, could reduce the risk of coupon skips, as being able to release buffers during periods of stress would not automatically lead to a breach of the combined buffer requirements. The proposals also include a removal of the leverage ratio Pillar 2 capital requirement, which would affect the largest European systemically important banks subject to this requirement. This is only a small number of banks but could (in theory) lead to a marginal decline in A

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line with expectations in 2026. EUR AT1 issuance has just passed €15bn at the time of writing, slightly above our expectation of €15bn. Similarly, EUR Tier 2 has reached €27bn, nearing our expectation of €30bn for 2026.

In 2027, we expect a modest increase in supply, largely dominated by the refinancing of upcoming redemptions/calls. We expect **€20bn in AT1 supply**, compared to €14bn of calls. While this represents a step-up, incremental net supply is only around €3bn higher than in 2026. Tier 2 redemptions will also rise by around

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€3bn next year, supporting our increased supply expectation of **€35bn in Tier 2.**

While gross supply will be higher, net supply should remain easily absorbable. More supply should create opportunities in primary markets, although lower reset levels have left some recently issued bonds more exposed during weaker markets.

AT1 redemptions pick up next year

(€bn)

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highest level since 2002. The story in French markets is growing more sinister by the day. But contagion risk across the eurozone is (so far) relatively contained. Italy and Belgium stand out as other higher-risk countries, given high debt levels and deficits, but it remains a French story for now. Nonetheless, the domestic sovereign exposure and the sovereign-bank nexus have come back into play.

So far, the market is not questioning the broader future of the eurozone. Still, France is of a much larger magnitude than countries

such as Greece or even Italy, which had to be supported during the eurozone crisis.

What can be said is that French banks, as well as the broader European banking sector, are in much better shape than they were during the eurozone crisis. French banks' capital ratios have increased significantly and now stand at around 13-15% on average, compared to c.9-10% during the eurozone crisis. Liquidity levels are healthy, while earnings and exposures, particularly for the larger banks, are well diversified. For instance, BNP Paribas generated around 25% of its revenues in 2025 in France, while French deposits account for 29% of the total. For Société Générale, F

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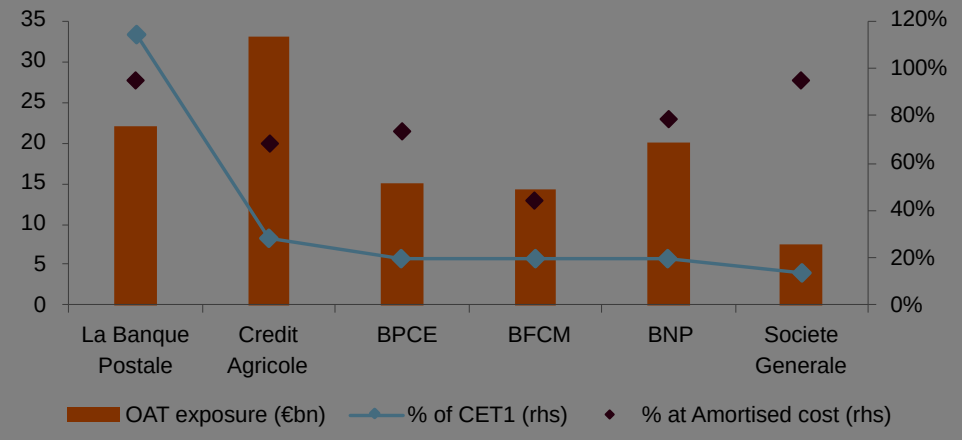
French banks OAT exposure appears manageable



Source: Company reports, EBA, ING

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However, we do not think this is the same sovereign-bank loop as in 2009-2012. European Central Bank funding facilities, the Bank Recovery and Resolution Directive (BRRD) and stronger liquidity coverage ratio (LCR) and net stable funding ratio (NSFR) requirements have reduced banks' dependence on sovereign guarantees. The link remains: ratings, domestic bond holdings and a shared operating environment still transmit sovereign stress into bank funding costs and market access.

The flip side is that liquidity requirements and favourable EU sovereign risk weights have made banks important buyers of government debt. As ECB purchases ended and TLTROs were repaid, sovereign holdings have partly replaced central bank reserves for LCR purposes. Banks rely less on sovereign guarantees, but on the other hand, sovereigns arguably rely more on banks for funding.

This new relationship, alongside expectations that the ECB would contain broader spillovers, perhaps helps explain why bank spreads have not widened as much as OATs. The ECB's refinancing and bond purchase tools remain part of the toolkit, although they have p

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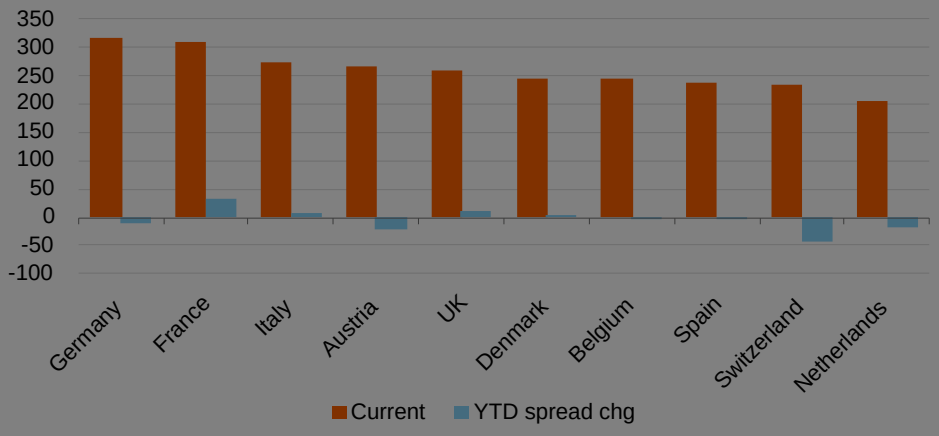
We would avoid treating all French banks similarly. Sensitivity to OATs and the French economy differ quite a bit across issuers. As such, the recent widening has been quite uniform, but the market could become more selective in French AT1s if nervousness continues into 2027. We think the most diversified names, including BNP and ACAFP in short-call bonds, with high reset levels, should hold up better.

French AT1 spreads trade at the widest levels in EUR



Source: IHS Markit, ING

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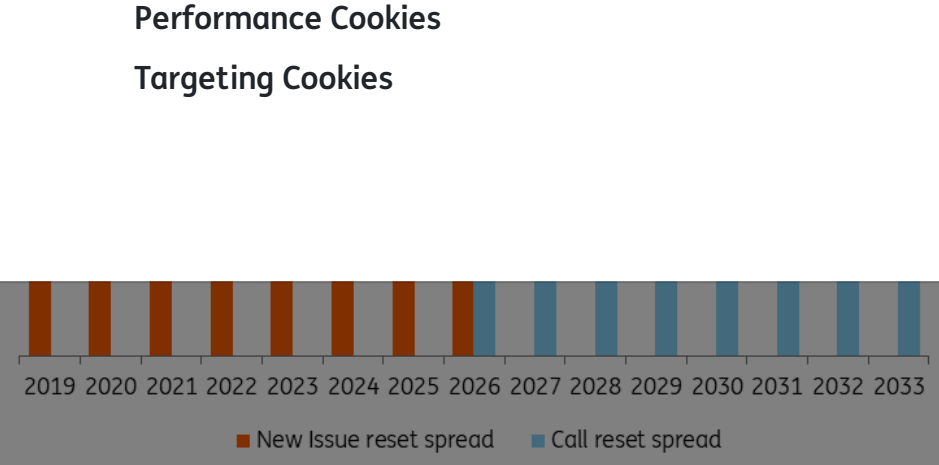
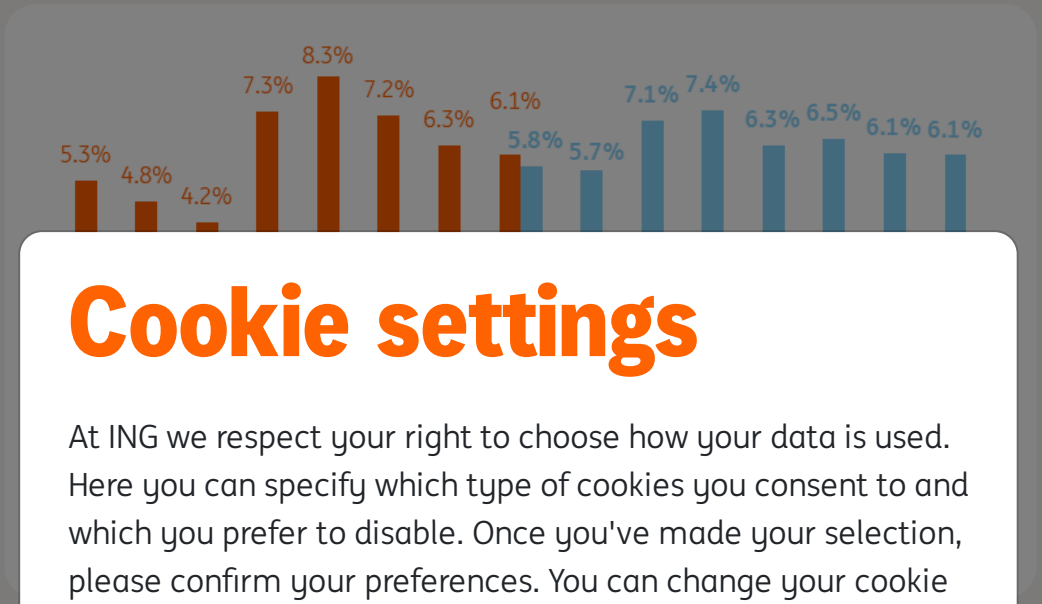


Source: IHS Markit, ING

This is especially the case as the reset levels remain low, while overall coupon levels are in line with recent historical averages. **The economics become less comfortable further out**. Reset spreads decline for bonds callable from 2030 onwards, leaving these bonds

more sensitive to higher rates and deterioration in market access. However, reset levels remain high on average through to 2029 callable bonds.

AT1 coupons have declined, but still remain elevated



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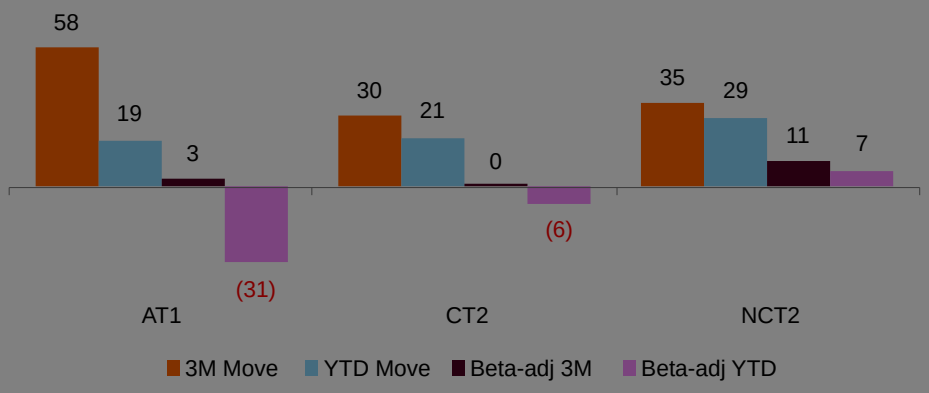
basis, suggesting the recent sell-off has reversed the trend a little bit.

AT1 has widened in recent months as volatility has come back to markets



Source: IHS Markit, ING

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points.

Reset has mattered more than ratings

High reset spread AT1s have generally been more resilient in 2026, with the 700-800bp reset bucket outperforming by quite a bit over the last three months. While this relationship is not fully linear, and many high-reset bonds are issued by higher beta/lower rated issuers, numbers still suggest that reset levels have been an important driver of performance this year. Higher underlying rates reduce the cushion that lower reset AT1 bonds have had, as

extension risk concerns have made more of a comeback in recent months.

Higher reset levels also provide greater coupon protection if a bond is extended during a period of market stress. There are a few near-term low-reset bonds callable with reset levels below +380bp. However, extension risk is still low for these: longer-call AT1s from these issuers trade through the respective reset levels, and these banks have historically assessed calls holistically, rather than purely on an economics or bond-by-bond basis.

Higher-rated bonds have underperformed in 2026. IG-rated bonds h
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So where does that leave the AT1 market in 2027?

2027 is shaping up to be another interesting year for bank capital. Valuations look a bit compressed, but bank fundamentals remain solid, with banks likely to continue calling their instruments at the first call dates. In terms of supply, we expect the small increase to be absorbable but potentially lead to investors becoming a bit more price sensitive. Furthermore, the lack of imminent AT1 reform

should mean the asset class retains an important role in Europe's banking capital stacks for the foreseeable future.

There are risks becoming more visible, not least through sovereign and fiscal concerns, with France the obvious victim at the moment. A softening of fundamentals at the margin and lower reset levels further along the call curve could create more volatility. Spreads have recently seen some widening, yet there is probably greater scope for spreads to stay wider than for further tightening in 2027.

AT1 yields could remain a good driver of demand for

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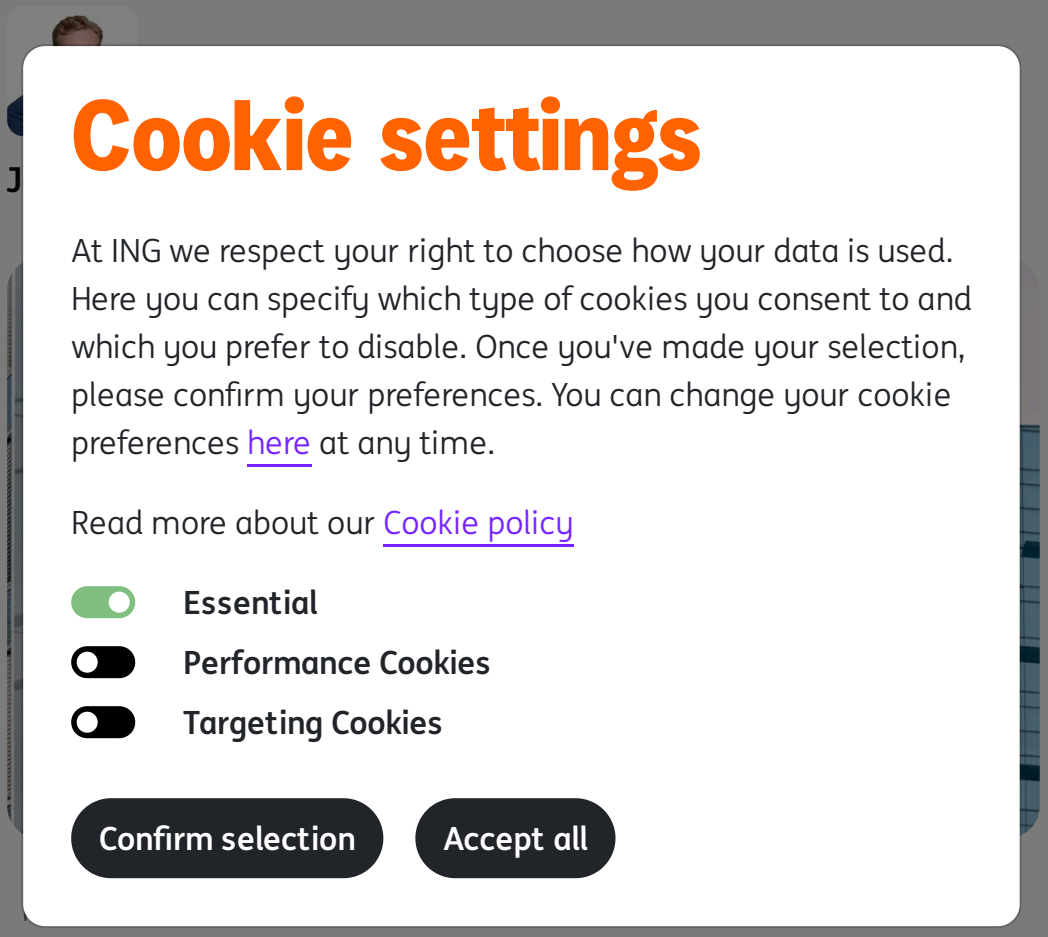
European bank M&A has seen a resurgence in recent years, and 2027 should stay busy. Domestic deals still dominate, while cross-border consolidation is harder but is also picking up. Regulation is becoming more supportive, but politics and execution still matter. Expect more deals, but a transformation of Europe's banking sector is still some way off



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European bank M&A is back

European bank M&A has seen a strong resurgence, with several large-scale deals making headlines. UniCredit's high-stakes takeover of Commerzbank, once deemed very unlikely but now moving closer to completion, could be Europe's most significant cross-border transaction in years. Italy remains one of Europe's bank M&A hotbeds, with multiple banks taking part in the ongoing consolidation wave. Other banks have also been active, and we expect M&A to remain elevated in 2027.

Year-to-date M&A deal value has already surpassed the 2025 total, reaching €53bn including the UniCredit-Commerzbank transaction and based on deals valued at €100m or more. Furthermore, deals pending or intended total €39bn, which includes the potential takeover of Banca Monte dei Paschi by Intesa Sanpaolo, currently valued at around €34bn. All in, this would bring deal value back to levels not seen since the early 2010s.

European bank M&A volumes have seen a resurgence

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Today, the backdrop has shifted – profitability and capital levels are stronger, making the obvious cost-efficiency story less compelling on its own. Instead, banks are using M&A to add scale, deposits and fee-generating diversification, while the need to close the gap with US rivals remains a key driver.

The industrial logic has also strengthened, as fixed costs are rising in areas such as technology, AI, compliance, as well as personnel. Rising investment requirements mean that remaining subscale is becoming more expensive, even for highly profitable banks.

Domestic dominates, but cross-border competes

UniCredit-Commerzbank remains the sector's most closely watched deal and could become the first major cross-border acquisition since the financial crisis. UniCredit has slowly been building its stake rather than a clean takeover and is now deemed to hold effective control, despite currently owning around 50% of the shares. Furthermore, it is also not entirely a leap into an unfamiliar market, as UniCredit already has a significant banking business in Germany through its subsidiary, HVB.

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broad-based cross-border consolidation wave. Many involve banks already familiar with the target market or assets that complement an existing local business.

Selected transaction details

Transaction	Type	Status	Deal value + Stake	Strategic rationale	Main implication
UniCredit / Commerzbank	Staged cross-border takeover	Pending control (ECB approval received)	c.49% owned; c.50% voting rights expected	Scale in Germany and HVB overlap	Landmark cross-border test; politics still shape execution
Intesa / Monte dei Paschi (MPS)	Domestic cash-and-shares bid	Announced / likely	€30.6bn initially; later improved to c€34bn	Scale, deposits and market leadership	Likely branch disposals and competition remedies
MPS / Mediobanca	Domestic takeover and merger	Completed; integration under way	€16bn	CIB, wealth and Generali stake	Transforms MPS business mix and reduces governance complexity
MPS / Banco BPM	Merger of equals	**Unlikely**	€25.3bn	Italy mid-tier consolidation	Italy mid-tier consolidation
MPS / Banca Generali	Merger of equals	**Unlikely**	Part of c.€34bn twin proposals	Adds wealth mgmt scale and fee income	Growth in MPS wealth and mid-tier banking
BPER / Popolare di Sondrio	Domestic merger	Completed Apr-26	€4.3bn initial offer	Northern Italy scale and deposits	Clear domestic synergy case
BPCE / Novo Banco	Full cross-border acquisition	Completed Apr-26	€6.7bn	Portugal as second domestic market	Large but operationally separate expansion
BPCE / Sabadell	Strategic minority stake	Completed; cooperation talks	7% stake for c.€1.2bn; cap 9.9%	Spanish exposure, board role and partnerships	Optionality without control; strengthens Sabadell defences
Santander / Webster	Cross-border takeover	Completed	$12.5bn	Geographic scale, creating a top-10 US bank	Bolt-on acquisition in commercial markets

Source: Company reports, ING

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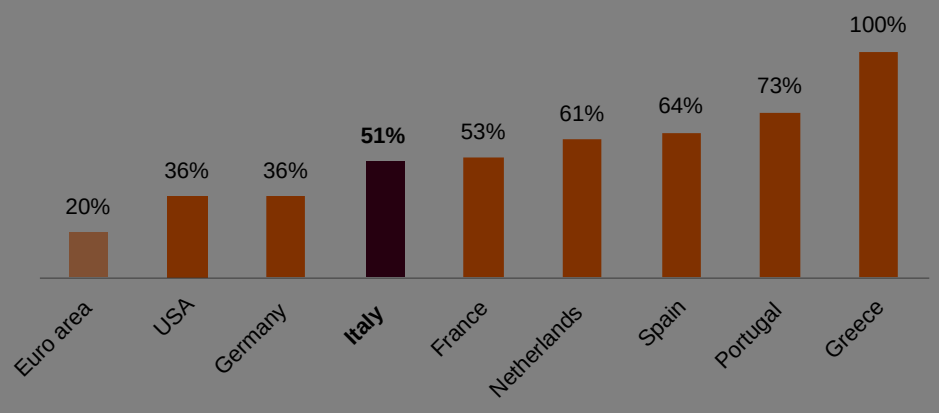
Why is Italy so active in particular? Well, Italy remains quite fragmented (see below) and still offers a large domestic synergy pool, even after the wave of M&A that has already taken place. Furthermore, the country has meaningful industrial scale and offers further revenue diversification opportunities for banks and insurers. Although the obvious combinations are becoming less evident in Italy, we expect this to continue to drive M&A activity in 2027.

Top 5 banks' lending market share by country (2025)



Source: AFME, ING

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Deutsche's return to life insurance after more than a decade.

Consolidation can support bank performance

But does consolidation actually deliver better outcomes? The evidence is not entirely clear-cut, but overall points in the right direction. While increasing scale is not always the best use of capital, in general, more consolidated markets tend to have more stable and, in some cases, higher profitability. The ECB is in favour of further consolidation where appropriate, as it sees the benefits of

diversification and efficiency. On the other hand, capital can be reduced following a merger. This could be a downside, as better capitalised banks tend to enjoy lower funding costs and thus have more room to lend to the real economy.

The outcome therefore depends on the trade-off between longer-term synergies and the upfront capital, execution and integration costs.

ECB data show an association between more concentrated banking markets and profitability. As the chart below shows, countries with a high level of concentration (defined by a higher Herfindahl-

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Herfindahl-Hirschman Index (Sector concentration)

Source: ECB, ING

Similarly, a higher level of market concentration in European countries is associated with a lower cost of risk. The correlation is modest, with some clear outliers, but the numbers show that greater concentration can lead to lower asset quality costs, although the relationship should perhaps not be interpreted as causal. Still, taken together, this suggests that consolidation can improve banking markets.

Cost of risk vs market concentration for European countries (2025)

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clearer than it was even a decade ago. But as the Draghi report noted, the incomplete Banking Union means Europe's banks remain less profitable than their US counterparts.

There is a shift underway, though. The EU Commission plans to table a broad **Banking Package** in the first quarter of 2027, with measures covering cross-border capital and liquidity management, deposit insurance, prudential rules and other items. For M&A, the most important proposals include those to give banking groups more flexibility to allocate capital and liquidity more efficiently within cross-border groups, while also applying more consistent

treatment to intra-group exposures. These remain proposals rather than agreed implementations, meaning their final scope and timetable remain uncertain.

The AFME estimates that regulatory ring-fencing rules mean that some €225bn of capital and €250bn of liquidity is trapped within subsidiaries, which banks cannot freely move between parent and subsidiaries. Freeing this up could also support more cross-border transactions.

Regulatory ring-fencing traps subsidiaries' capital and liquidity

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cross-border M&A. CMDI reform has been passed this year, which could make it easier to deal with failing banks, potentially making consolidation easier as well, although the direct impact on M&A is unclear.

The Danish compromise, which is now embedded into CRR3, allows banks to risk-weight certain insurance subsidiaries rather than deduct them from regulatory capital. This was clarified by the EBA in January 2026, and some banks such as UniCredit have received authorisation to use the Danish Compromise methodology for its insurance subsidiaries. This has improved the economics of

bancassurance and could support further bank-insurance transactions.

On the other hand, national regulatory and political intervention has also put the brakes on M&A in some cases, raising execution costs and uncertainty. BBVA's proposed acquisition of Sabadell in 2024 illustrates the problem. It took 539 days from the announcement in May 2024 to the offer failing in October 2025.

For us, the message seems clear that European regulators are seeking to improve bank competitiveness, and they see consolidation as an important part of this. Looking ahead, re

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so we could see more bolt-ons. In the UK, challenger banks and neobanks are gaining ground while deposit competition remains intense, potentially leading to more activity. The Benelux has potential catalysts following a series of government ownership reductions and increasing inorganic ambitions.

Cross-border activity could also remain elevated, but we think the real litmus test remains the UniCredit-Commerzbank deal, including what happens after completion in terms of execution and integration, a process that is likely to take a few years. The

regulatory environment should also become increasingly more supportive for cross-border M&A from 2027 onwards.

Overall, 2027 could be another interesting year.

M&A is here to stay

European bank M&A has picked up in recent years, and we expect more activity again in 2027, although we do not see a big bang. For investors, positioning is inherently speculative. For bondholders, the main way to gain is by owning the target entity's bonds. However, this is not always the case, and bigger doesn't always mean better, as credit ratings don't necessarily improve either following an

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